



Integrated report and financial statements 2014

Barclays Bank of Kenya

Scope of this report

This report covers the period from 1 January to 31 December 2014. As a company incorporated in Kenya and listed on the Nairobi Securities Exchange, our focus in this report is on meeting Kenyan regulatory requirements. These include Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya, the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange. Furthermore, as this report represents our first effort towards meeting the international integrated reporting standards of the International Integrated Reporting Council (IIRC) and Global Reporting Initiative (GRI), we have incorporated as many of these considerations as possible, although we have not yet started measuring compliance. We estimate that compliance with these additional standards, which are voluntary at this stage in Kenya, will be met over the next three-year period.

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About this report

Introducing our 2014 report

This report is the first step in our journey towards integrated reporting. Through this process we intend to demonstrate our commitment to aligning our corporate reporting with international standards as well as providing insight into how we create financial and non-financial value for the benefit of all our material stakeholders, not just over the short-term, but also the medium- and long-term. This report is therefore a significant departure from our previous annual reports, which traditionally offered a retrospective view of our financial performance alone.

We plan to show how we are positioning ourselves to become the 'Go-To' bank in Kenya and realise our vision: to help people achieve their ambitions - in the right way. This is underpinned by our values – Respect, Integrity, Service, Excellence and Stewardship – which are at the core of everything we do.

The material issues identified in this report consider our operating environment, current performance and stakeholder feedback and are interrogated through the five C's – Customer, Colleagues, Citizenship, Conduct and Company. Our executive team and Board agree that the issues identified in this report are those that most influence our ability to successfully execute our strategy and manage our risk.

This report represents the beginning of an exciting development and a deepening of the dialogue between the Bank and stakeholders. We therefore invite you, the reader, to share your thoughts and insights as to how we can enhance this process over the next year so that you can more accurately hold us to account on how we have delivered on our strategy.



Francis Okomo-Okello
Chairman



Jeremy Awori
Managing Director

Our Company

Barclays Kenya at a glance

Our purpose



Helping people achieve their ambitions
– in the right way

Our goal



To be the 'Go-To' bank in Kenya

Our values



- Respect
- Integrity
- Service
- Excellence
- Stewardship

Our strategic pillars



- Company
- Customer
- Colleagues
- Citizenship
- Conduct

Our footprint



- 768,988 customers
- 119 branches
- 239 ATMs
- 2,802 employees

The services we provide



- Retail banking
- Business banking
- Corporate and Investment Bank

2014 Highlights

Customer



Grew customer base by 18%; 9 more ATMs; Net Promoter Score (NPS) up from 7% to 21%; 161 ATMs and 25 branches refurbished; Treating Customers Fairly (TCF) score 78%.

Colleagues



2,802 employees; 37 training programmes; 109 women promoted to leadership positions; 50:50 gender ratio at Board level.

Citizenship



Investments in community upliftment initiatives; sponsored Barclays Kenya Open; launched Light Up Kenya; organised Women in Business Forum; hosted Career Fair for People Living with Disabilities; remodelled branches and ATMs for people with disabilities.

Conduct



Screening of customers before on-boarding to eliminate fraudulent activities; Ongoing truthful and fair communication; Disclosing the cost of credit as required by the Kenya Banks Reference Rate regulation of 2014.

Company



Shs 19.6 billion interest income; Shs 28.3 billion total income; Shs 12.3 billion profit before tax; Shs 226.1 billion total assets; Shs 164.8 billion customers deposits; Shs 125.4 billion loans and advance; 22% return on equity; 51.6% cost-to-income ratio; 15.2% core capital ratio; 30.7% non-interest revenue; 3.7% return on assets; Shs 1 ordinary dividend per share.

Five-year review

	2010 Shs Millions	2011 Shs Millions	2012 Shs Millions	2013 Shs Millions	2014 Shs Millions
CONSOLIDATED STATEMENT OF PROFIT OR LOSS					
Interest Income	17 131	17 632	21 041	21 297	22 941
Interest Expense	(1 457)	(1 296)	(2 896)	(2 437)	(3 337)
Net Interest Income	15 674	16 336	18 145	18 860	19 604
Non Interest Income	13 895	10 003	9 279	9 062	8 684
Operating Income	29 569	26 339	27 424	27 922	28 288
Operating expenses	(14 816)	(13 539)	(14 260)	(15 565)	(14 590)
Impairment on loans and advances	(1 200)	(729)	(144)	(1 223)	(1 405)
Profit before tax	13 553	12 071	13 020	11 134	12 293
Taxation	(2 954)	(3 958)	(4 279)	(3 511)	(3 906)
Profit after taxation	10 599	8 113	8 741	7 623	8 387
Earnings per Share	1.95	1.49	1.61	1.40	1.54
Dividends per Share	1.36	1.50	1.00	0.70	1.00
Dividend Payout Ratio	70%	101%	62%	50%	65%
CONSOLIDATED STATEMENT OF FINANCIAL POSITION					
Assets					
Gross loans and advances to customers	90 930	102 448	106 973	121 504	128 991
Impairment losses on loans and advances	(3 783)	(3 376)	(2 769)	(3 142)	(3 568)
Net loans and advances	87 147	99 072	104 204	118 362	125 423
Cash and short term funds	13 131	12 212	16 486	16 908	24 568
Government securities	55 996	37 599	47 536	47 559	51 033
Property and equipment	3 244	3 056	2 667	2 786	2 847
Other assets	12 897	15 090	13 933	21 124	21 973
Total assets	172 415	167 029	184 826	206 739	225 844
Liabilities					
Customer deposits	123 826	124 207	137 915	151 125	164 779
Other liabilities	17 124	13 599	17 324	23 242	22 880
Total Liabilities	140 950	137 806	155 239	174 367	187 659
Net Assets	31 465	29 223	29 586	32 372	38 185
Shareholders' Funds	31 465	29 223	29 586	32 372	38 185
Performance Ratios:					
Return on equity	33.7%	30.1%	29.5%	23.5%	22.0%
Cost income ratio	57%	51%	52%	56%	52%
Loan loss rate (bps)	138	74	14	103	112
Balance Sheet Ratios:					
Net advances to deposits(%)	70%	80%	76%	78%	76%
Impairment allowances/Classified debt	65.0%	72.6%	77.5%	92.2%	81.7%
Classified Debt/Gross Advances	6.4%	4.5%	3.3%	2.8%	3.4%
Others					
Number of Full Time Employees	3 581	3 176	3 072	2 815	2 802
Number of Branches	119	119	119	119	119



Chairman's message

Introduction

The year 2014 saw us consolidate our efforts to become the "Go-To" bank in Kenya. Under the able leadership of Dr. Jeremy Awori, the Bank underwent significant changes. All of these were aimed at upping our game and regaining our spot amongst Kenya's leading banks. Our three-year business strategy, as part of the Barclays Africa Group, commenced with foundation building in 2013 and 2014. The year ahead will see us accelerate the process of raising our flag above the other industry players.

Corporate governance

At the core of everything we do is strong leadership underpinned by commitment to our values and sound business ethics. We believe that strong corporate governance is good for business and should be embraced, whether legislation dictates it or not. That is why at Barclays, by way of compliance, we do more than the law may minimally prescribe. We believe that it makes strategic and business sense to do so. Being part of a multinational organisation means that we have to comply with legislative frameworks as well as our own internal requirements, which are oftentimes more rigorous than the current legislation. In recent years, we have pioneered several corporate governance initiatives, which have set the benchmark for governance best practices in Kenya, especially with regard to diversity and inclusion. While the corporate governance structures we have in place are strong, we acknowledge that there is always room for improvement. The evolution of economies and emergence of new challenges will require that the board and management remain responsive to the rapid changes and are adaptable and quick-witted.

Changes to the Board

I would like to welcome our new non-executive directors, Winnie Ouko, Laila Macharia and Norah Odwesso, who joined the Board in 2014. They bring a new mix of skills, knowledge and experience to Barclays and cement the Bank's position as a leader in many respects, including the diversity and inclusion agenda. We are now the most gender-balanced board amongst companies listed on the Nairobi Securities Exchange.

Brown Ondego and Jane Karuku, who have served as Directors of the Bank since August 2003, have each individually advised of the intention to retire from the Board at the forthcoming Annual General Meeting, having served their full terms. I would therefore like to take this opportunity to thank them for their dedicated service to the Bank during their respective tenures of service. Their enduring contribution to the Banks' growth over the years is truly appreciated.

A constantly evolving sector

Changing customer needs, especially amongst the youth, are altering the face of banking forever and the sector is evolving faster than ever before. Non-traditional competitors have entered the fray and are crowding each other to woo customers. Having the right technology in place will be the game changer for banks in Kenya. Retail banking is most affected as technology seeks to converge e-wallet functionalities for seamless use by customers. Several companies are working on aggregators to enable customers to integrate with a wide range of financial services on a single interface. It is in this respect that our customer uptake of

channels such as internet banking, mobile banking and ATM self-service functionality increased significantly in 2014.

2014 witnessed the migration of banks to the Europay, MasterCard and Visa (EMV) global standardisation (chip and pin) for credit and debit cards and we were one of the first banks in Kenya to migrate ahead of the deadline. It was a complex project, which involved a collaborative effort with our regional and global offices to ensure a smooth changeover. The new standard takes the card business to the next level and allows for increased functionality that was not possible using magnetic strip cards. In addition, we introduced Front Arena, a system that affords our treasury clients the convenience of transacting their deals from wherever they are.

We also recognise that negotiating this changing landscape requires agility and a deep understanding of our customers' needs and expectations, which are evolving rapidly. We have developed several programmes to attract the youth segment to the Bank. This has involved understanding their changing consumption habits and developing products that speak specifically to them.

Regulatory environment

The past two to three years have been exceptionally busy on the regulatory front and we envisage that this trend is likely to continue as regulators push for improved compliance within the financial services industry. Notably, full file reporting became effective for banks, microfinance banks and credit reference bureaus on 28 February 2014. In addition, the Kenya Banks' Reference Rate (KBRR), a transparent credit pricing framework, became effective on 8 July 2014.

The proposed new corporate governance guidelines by the Capital Markets Authority (CMA) will change how publicly listed companies are governed once adopted. Boards will be held to a higher standard of conduct and professionalism and I believe that this will have a positive impact on the business community as a whole as well as corporate performance. In fact, we are working closely with the CMA on the implementation of its roadmap, which has the corporate governance guidelines as a key pillars. This demonstrates the commitment to setting up and managing world class enterprises and we expect that it will boost investor confidence in local companies and in this market.

Conclusion and appreciation

I would like to salute the Barclays Kenya shareholders, customers and partners for their unwavering support of the Banks as I also thank my fellow directors for their consistent commitment to their roles on the Board and to the affairs of Barclays. The figures speak for themselves and my deep appreciation goes to Dr Jeremy Awori and the executive committee for the invaluable role they play in executing the strategy and ensuring the business is on track for growth. To our staff, thank you for sharing our vision and for your diligent contribution in helping take us closer to our goal of becoming the "Go-To" bank in Kenya.



Francis Okomo-Okello

Chairman

Our Company

Taarifa ya Mwenyekiti

Utangulizi

Katika kipindi cha mwaka 2014 tulifaulu kuimarisha juhudi zetu za kuwa benki ya “Go-To” (yaani benki inayovutia) hapa Kenya. Chini ya uongozi imara wa Dkt. Jeremy Awori, benki hii ilifanyiwa mabadiliko makubwa yaliyolenga kuturudisha tena kwenye nafasi tunayostahili ya kuwa miongoni mwa benki zinazoongoza hapa Kenya. Mkakati wetu wa biashara wa kipindi cha miaka mitatu, ikiwa ni sambamba na ile ya Kundi la Barclays Africa, ilianza msingi na wake kuasiwa katika 2013 na 2014 na katika mwaka unaotukabili tunatarajia kuharakisha juhudi zetu ili tuweze kutimiza mikakati yetu.

Usimamizi bora wa shirika

Katika miaka ya hivi karibuni sisi ndio tumekuwa waanzilishi wa mipango mbali mbali ya usimamizi bora wa shirika, ambayo imeweka alama ya kuigwa ya utekelezaji bora zaidi wa usimamizi hapa Kenya, hasa zaidi kuhusu utofauti na ushirikishwaji. Huku miundo yetu ya usimamizi bora wa shirika ikiwa iko imara, pia tunatambua kuwa wakati wote huwa kuna nafasi ya marekebisho. Mageuzi haya ya kiuchumi na kuibuka kwa changamoto mpya kutalazimu bodi na wasimamizi kuendelea kuwa tayari kabisa kushughulikia mabadiliko yanayokuja kwa kasi na wawe na uwezo na watambuzi wenye busara.

Mabadiliko katika Bodi

Ningependa kuwakaribisha wakurugenzi wetu wapya wasio watendaji, Winnie Ouko, Laila Macharia na Norah Odweso, waliojiunga na Bodi katika 2014. Wanatujia na mchanganyiko wa ujuzi, maarifa na uzoefu hapa Barclays na kuendelea kuimarisha nafasi ya benki hii kama kiongozi kwenye nyanja nyingi, ikiwa ni pamoja na ajenda ya utofauti na ushirikishwaji. Bodi hii ndiyo iliyo bora zaidi kwa kutimiza usawa wa jinsia miongoni mwa mashirika mengine yaliyoorodheshwa kwenye Soko la Hisa la Nairobi. Brown Ondego na Jane Karuku, ambao walihudumu kama Wakurugenzi wa Benki hii tangu kuanzia Agosti 2003 baada ya kuhudumu na kukamilisha muda wao, kila mmoja wao binafsi ametushauri kuhusu nia yao ya kutaka kustaafu kutoka kwa Bodi katika Mkutano Mkuu wa Mwaka unaokuja. Kwa hivyo ningependa kuchukua fursa hii kuwashukuru kwa kujitolea kwao kuhudumia benki hii katika muda wa hatamu yao wote wawili. Mchango wao miaka mingi kuhakikisha ustawi wa benki hii katika miaka hiyo iliyopita unashukuriwa vilivyo.

Hii ni sekta inayobadilika mara kwa mara

Mabadiliko katika mahitaji ya wateja, hasa miongoni mwa vijana, yanaendelea kubadilisha daima sura ya huduma za benki na sekta hii inazidi kubadilika sana kuliko ilivyokuwa awali. Washindani wasiyokuwa wa jadi wameingia katika mazingira ya biashara za benki na wanapambana baina yao ili waweze kupata wateja. Utumiaji wa teknolojia ifaayo ndiyo ubunifu wa hali ya juu utakaobadilisha hali. Biashara ya rejareja ya benki ndiyo iliyoathiriwa zaidi kwa vile teknolojia inalenga kuunganisha utekelezaji wa shughuli za benki kupitia vifaa vya mawasiliano (e-wallet) ili kuweza kutumiwa na wateja kwa urahisi. Makampuni yanashirikiana na watoa huduma za mawasiliano ili kuwawezesha wateja kufikia huduma tofauti tofauti zilizopo za kifedha kupitia programu moja. Kwa mazingatio haya matumizi ya wateja wetu kupitia njia hizi kama vile huduma za benki kupitia internet, kupata huduma kupitia simu ya mkononi na kujihudumia mwenyewe katika mashini za ATM utekelezaji haya yote uliongezeka mno katika 2014.

Katika 2014 kulishuhudiwa uhamaji wa benki zote kwenda kwenye mfumo wa Europay, MasterCard na Visa (EMV) wa viwango vya

kimataifa (maarufu kama chip and pin) kwa kadi zote za mkopo (credit cards) na za mtoe (debit cards) na sisi ndiyo tuliyokuwa benki ya kwanza hapa Kenya kuhamia mfumo hata kabla ya tarehe ya mwisho iliyowekwa ya utekelezaji. Ulikuwa mradi tata, uliyohusisha juhudi kubwa za ushirikiano baina yetu na ofisi zetu za eneo hili na za kimataifa ili kuhakikisha mfumo unabadilishwa bila matatizo. Usanifishaji huu mpya unaruhusu utekelezaji wa shughuli zaidi ambapo hapo awali haungewezekana unapotumia kadi zenye ukanda wa smaku. Zaidi ya hayo, tulianzisha programu ya Front Arena, mfumo unaowarahisishia wateja ili waweze kuzifikia huduma zetu na kufanya muamala mahala popote walipo. Vile vile tunatambua kuwa kuafikiana juu ya mandhari haya mapya kunahitaji unyumbufu na ufahamu wa kina wa mahitaji na matarajio ya wateja wetu ambayo yanazidi kubadilika mara kwa mara. Tumebuni mipango kadhaa ya kuvutia kitengo cha vijana kwenye benki hii. Hii inahusisha kuufahamu vyema mwenendo unaobadilikabadilika wa mahitaji yao na kubuni huduma zinazowalenga wao hasa.

Hali ya uthibiti wa kanuni

Katika kipindi cha muda wa miaka mitatu iliyopita kumekuwa na shughuli nyingi kuliko kawaida katika nyanja ya uthibiti kanuni na tunatarajia mwendendo huu kuendelea kwa vile wathibiti kanuni wanashinikiza utifu zaidi wa wahusika kwenye sekta hii ya huduma za kifedha. Lililo dhahiri, utoaji taarifa za kifedha uliojumuishwa kila kitu ulishurutishwa kwa benki zote, benki ndogo ndogo za fedha na mashirika ya muamana mnamo tarehe 28 Februari 2014. Isitoshe, Kima cha Malipo cha Benki za Kenya (KBRR), ambao ni mfumo wenye uwazi wa kuweka bei za mikopo, ulilianza kutekelezwa tarehe 8 Julai 2014. Muongozo mpya wa usimamizi bora wa shirika unaopendekezwa na Mamlaka ya Soko la Mtaji (CMA) utabadilisha jinsi usimamizi wa mashirika yaliyoorodheshwa kwenye Soko Kuu la Hisa utakavyoendeshwa. Bodi za wakurugenzi zote zitatarajiwa kudumisha kiwango cha ubora wa juu cha utekelezaji na utaalamu na mimi naamini kuwa hii italeti athari nzuri katika jumuiya yote ya biashara kwa ujumla, sio tu kwa mashirika makubwa pekee. Kwa kweli, tunafanya kazi kwa ushirikiano na CMA kufanikisha utekelezaji mkakati wake, ambao uko na muongozo wa usimamizi bora wa shirika kama nguzo muhimu. Hii inadhihirisha kujitolea kulio katika kuasisi na kusimamia makampuni ya haadhi ya kimataifa na tunaamini kuwa hili litaongeza Zaidi matumaini ya wawekezaji kwenye makampuni ya humu nchini na katika soko hili letu.

Hitimisho na shukrani

Ningependa kuwapa shukrani zangu za dhiti wamiliki hisa wa Barclays Kenya, wateja na washirika wetu kwa usaidizi thabiti usioyumba kwa benki hii. Vile vile ningependa kuwashukuru wakurugenzi wenzangu kwa kujitolea kwa hakika kutekeleza majukumu yao katika Bodi na kwa shughuli za benki hii ya Barclays. Takwimu zinajielezea zenyewe na hongera zangu kocho kocho zimwendee Dkt Jeremy Awori pamoja na kamati za wakurugenzi kwa mchango wao mkubwa sana katika kutekeleza mikakati yetu na kuhakikisha ustawi wa shirika hili unafikiwa kama ulivyopangwiwa. Kwa wafanyikazi wetu, nasema asanteni sana kwa kushirikiana kuyakinisha maono yetu na kwa juhudi na bidii za kutusaidia tukaribie kwenye malengo yetu ya kuwa benki ya “Go-To” (yaani inayovutia) hapa Kenya.



Francis Okomo-Okello

Mwenyekiti



Shareholder participation at 2013 Annual General Meeting



Managing Director's message

I am pleased to present this year's integrated annual report, Barclays' first step in the journey towards full integrated reporting. This report is not merely a record of our financials for the year under review, rather it presents the story of how we have delivered on our key strategic goals, guided by our five pillars – Customers, Colleagues, Company, Citizenship and Conduct.

Central to our strategy is the certainty that Africa is a frontier market and that, as a multi-national organisation with more than 100 years of experience in Africa, we have a unique proposition to offer within this market.

Fortunately, we have considerable assets in our favour. We have a brand that is well respected in this market and has touched the lives of almost every person in this country and we continue to harness this advantage to build on the strength of our retail banking, corporate banking, and our treasury and markets businesses.

Our strategic drivers for the year included delivering disciplined strategic growth, building new revenue streams, delivering focused customer service, delivering on transformational projects, building and strengthening our teams, building and differentiating our brand and delivering on financial targets.

Building on our strengths

We believe we have made significant progress in realising our strategic agenda and creating a sustainable business for our shareholders in the long-term. 2014 saw us grow our core capabilities and capacity during the year. We were a major player in large public and private sector projects, most notably as the lead arranger of the Kenyan Sovereign Eurobond and a partner in the construction of the Thika Power plant.

Major focus was placed on growing our foreign exchange business, one of our strong business units. We also leveraged our position as the largest card issuer in Kenya to expand our card business through the introduction of innovative card propositions. We enhanced our retail business with the rollout of innovative products such as Zidisha Bonus and Target Save accounts.

Leveraging opportunities for growth

In Q1 last year, we launched Business Banking as a separate business unit to effectively serve the unique SME sector. In an effort to improve our customer experience and encourage credit uptake by this segment, we enhanced our asset finance proposition. We simplified the credit sanctioning process for SMEs in that we no longer require audited financial statements for credit requests of up to Shs 15m. Instead, we are now using a behavioural scorecard to assess these requests. In addition, we increased the lending cap for unsecured business loans to Shs 6m and reduced our credit approval time by half to 48 hours.

Another significant development in 2014 was the acquisition of a Bancassurance License, which allows us to sell tailor-made insurance policies to our customers. In addition, towards the

end of last year we received a stock brokerage license, allowing us to further diversify our sources of non-funded income.

We also revamped our Investment Banking offering and launched our Investment Banking Desk with a Kenya-based team. This is a one-stop shop that gives our clients access to financial advisory services and facilitates their access to debt and equity capital markets. We improved our fixed income trading capacity through the implementation of cutting edge systems and availing higher transaction limits. This positions us as a major player in this field.

Further, we set up a Chinese Business Unit to enable us to adequately facilitate Sino-Ke trade transactions, which have increased significantly during the past 10 years. Through our Chinese business desk and Investment Banking division, we are able to provide our Chinese and Asian customers with comprehensive financial advisory, capital raising, financing, structuring, risk management and execution services for corporations, governments and financial institutions worldwide.



Lion dance performance at the Chinese New Year celebrations

In addition, we ventured into Value Chain Financing, Commercial Property Financing and Institutional Banking, in support of our expanding corporate and business banking segment. Other firsts during this year include the rollout of multi-functional intelligent ATMs; the introduction of specialised customer support in the form of a Mortgage Centre, Asset Finance Centre of Excellence and a Corporate Service Desk; the implementation of queue management systems in some of our branches; and the rollout of the revolutionary BARX system; an online system for forex trading. By the end of 2014, we had refurbished 25 branches and 161 ATMs countrywide.

Enhancing customer satisfaction through technology

We recorded the highest Net Promoter Score (NPS) in the Barclays Africa Group, with a tripling of our customer satisfaction levels. This is measured through an independent scoring system used to gauge the willingness of customers to promote or recommend our products. Our channel NPS also improved, showing greater satisfaction with the accessibility of

Our Company

CEO's message (continued)

our products and services to our customers.

Enhanced technology is critical to regaining our top three position in the banking sector in Kenya. In 2014 we invested heavily in new systems while adding new functionalities and capabilities to our existing ones with the aim of ensuring availability, improved stability and all round accessibility.

We revamped our mobile banking app with a GPRS-enabled discount feature that allows our customers to easily get information on retail discounts offered to them as Barclays clients. In addition, we improved the level of customer experience on our online banking platforms. These investments have already begun to pay off and Barclays Kenya has recorded the best ATM uptime in the Group.

Engaging our employees

As part of our commitment to offering exceptional service to our customers, we seek to attract and retain the best talent in the banking sector. Over the past year, we employed 9 new directors, 15 senior managers and 7 consumer banking regional managers to help us forge ahead with our growth agenda.

Part of our strategy is to be a frontrunner in employment diversity and inclusion. We have made a conscious effort to change our board by bringing in strong and influential women: we are currently the only listed company to have attained a 50:50 gender representation as board level. In addition, we held Kenya's inaugural Career Fair for People Living with Disabilities and invested more than Shs 25m in remodelling our facilities to enable easier movement for our customers and colleagues living with disabilities.

Employees are encouraged to take part in community projects that are close to their hearts through channels such as the Make a Difference Day (MADD) and the Shilling for Shilling programme. Stewardship – or leaving a place better than it was found – is a pillar of our values.

We continuously invest in and develop our employees through various career development channels such as cross functional placements; external attachments within the global franchise; and the Women Network Forum (WNF). An organisation established in 2011 to mentor women into leadership positions, one of the WNF's key achievements is increasing female representation at director level from 7% in 2011 to 26% in 2015. In addition, the WNF is credited with the establishment of Baby Eagle rooms in some of our premises as well as organising mentorship programmes for female employees.

Supporting growth in Kenya

It is critical that as a business we support the government and country to help Kenya become a successful hub for growth in East Africa and within the continent. We are uniquely placed

to leverage our international, regional and local knowledge and experience and bring them to bear in the country. Internationally, we bring experience from other markets. Regionally, we understand Africa. Locally, we have a deep-rooted history in Kenya – almost 100 years – and we are here to stay.

While East Africa is regarded as the new hub for growth on the continent, as a country, Kenya is currently rated 136 on 'ease of doing business', according to the World Bank's Doing Business 2015 report. So, how do we make it easier for investors to come in; how do we make it easier for Kenyans and East Africans to do business in this market; and what role can we play in helping them get their businesses up and running? To this end, we are working closely with the Capital Markets Authority to implement the Capital Markets Master plan. This document spells out clear governance codes aimed at enhancing the business environment and making it more attractive to international investors.

Lifecycle management

Historically, banking in Kenya has distinguished between individual and business customers and has failed to transition with the client as he or she moves from a salaried job into a more entrepreneurial venture.

As a retail, corporate and business bank, we should be able to walk this journey with our customers. This is why we are placing great emphasis on supporting our customers as their banking needs evolve. How we leverage technology will determine our ability to deliver personalised service to our clients without increasing our cost to income ratio.

The "Go-To" bank

I would like to thank the Board for the critical role they play in the exciting journey we have embarked on. I would also like to thank our customers, employees and shareholders for their constant loyalty and support.

Jeremy Awori

Managing Director

Taarifa ya Mkurugenzi Mtendaji

Nimejawa na furaha tele ninawasilisha kwenu taarifa ya maotokeo yetu ya mwaka huu inayojumuisha kila kitu, ikiwa ndiyo hatua ya kwanza ya Barclays katika safari hii ya utoaji taarifa ya mwaka iliyo kamili. Hii sio tu taarifa ya kumbukumbu ya hali yetu ya kifedha katika mwaka tunaoukariria, bali inawatolea habari yote kuhusu jinsi tulivyofanikiwa kutekeleza malengo ya mkakati wetu, tukiongozwa na nguzo zetu tano – Wateja, Wafanyikazi wenza, Kampuni, Uraia na Maadili.

Kiini cha mkakati wetu ni kuwa na uhakika kwamba Afrika ndiyo soko lililo mpakani na kuwa, kama shirika la kimataifa lenye uzoefu wa zaidi ya miaka 100 hapa Afrika, tuko na penendekezo la kipekee tunalotoa kwenye soko hili.

Kwa bahati nzuri, tunamiliki rasilimali kubwa. Tuko na chapa ya kibiashara inayoheshimika sana katika soko hili na ambayo imegusa karibu maisha ya kila mtu katika taifa hili na tutazidi kutumia fursa hii kujitawisha zaidi kwa kutumia uwezo tuliyo nao wa huduma rejareja za benki, huduma za benki kwa mashirika, pamoja na biashara zetu za hazina na masoko.

Vichecheo vya mkakati wetu katika mwaka tunaoukariria vilikuwa ni pamoja na kuweka mkakati wa ukuaji wenye nidhamu, kubuni njia mpya za mapato, kuweka huduma bora yenye umakini kwa wateja, kuweka miradi ya kuleta mageuzi, kuunda na kuimarisha timu zetu, kubuni na kutofautisha chapa yetu na kufikia malengo yetu ya kifedha.

Kujiimarisha kwa kutegemea uwezo wetu

Tunaamini kuwa tumepiga hatua kubwa ya maendeleo katika kufikia ajenda yetu na kutengeneza biashara endelevu kwa wamiliki hisa yetu katika kipindi cha muda mrefu. Katika 2014 tulishuhudia ukuaji mkubwa wa msingi wa uwezo wetu na nafasi katika mwaka wa tunaoukariria. Tulikuwa wahusika wakubwa katika miradi mikubwa katika sekta za mashirika ya umma na ya kibinafsi, uliyo mashuhuri ni ule wa kuwa kiongozi mtayarishi wa mpango wa Kenyan Sovereign Eurobond na mashirika katika ujenzi wa Kiwanda cha Umeme cha Thika.

Mazingatio makubwa yaliwekwa katika kukuza biashara yetu ya uuzaji wa pesa za kigeni, ikiwa ni moja ya vitengo vyetu vilivyo imara vya biashara. Vile vile tulitumia kama nyenzo nafasi yetu tuliyo nayo ya kuwa mtoaji wa kadi mkubwa zaidi kuliko wote hapa Kenya kupanua zaidi biashara hiyo yetu ya kadi kupitia kuanzisha na kutoa kadi zenye ubunifu. Tuliboresha biashara yetu ya huduma za rejareja za benki kwa kuanzisha bidhaa bunifu kama vile Zidisha Bonus na Target Save accounts.

Kutumia uwezo wetu kujitawisha

Katika robo ya kwanza ya mwaka jana, tulianzisha Huduma za benki kwa Biashara kama kitengo tofauti cha biashara kuhudumia kikamilifu sekta hii ya kipekee ya wajasiria mali wadogo (SME). Katika juhudi za kuboresha utekelezaji wa mahitaji ya wateja wetu na kuhamasisha uchukuaji mikopo katika kitengo hiki, tuliimarisha utoaji fedha za rasilimali. Tulifanya kuwa rahisi mfumo wa kuidhinisha mkopo kwa wajasiria mali wadogo (SME) kwa vile sasa hatuhitaji tena kutolewa kwa taarifa za kifedha zilizokaguliwa unapoitishwa mkopo wa kiasi cha hadi Kshs milioni 15. Badala ya hivyo, sasa tunatumia kigezo cha mwenendo wa tabia kukagua maombi haya. Zaidi ya hivyo, tuliongeza kikomo cha mikopo isiyo na

dhamana kwa biashara hadi Kshs milioni 6 na tukapunguza muda wetu wa kuidhinisha mkopo hadi nusu na kuwa masaa 48.

Maendeleo mengine makubwa katika 2014 ilikuwa upataji wetu wa leseni ya Bancassurance, inayotuwezesha kuuza bima zinazochukuana wateja wetu. Isitoshe, kukaribia mwishoni mwa mwaka jana tuliweza kupata leseni ya udalali wa hisa, hivyo basi kutupatia fursa za kudumu kuwa njia mseto za zisizofadhiliwa za mapato.

Pia tulifanyia ufufuzi wa huduma zetu za benki za uwekezaji kwa kuanzisha Ofisi yetu ya Huduma za Benki za Uwekezaji kukiwa na timu ya wahudumu wa hapa Kenya. Hapa kila kitu kinapatikana mahala pamoja hivyo basi kuwapa wateja wetu fursa ya kupata huduma ya ushauri wa masuala ya kifedha na kuwawezesha kufikia masoko ya madeni na hisa zisizo na riba ya kudumu. Tuliboresha uwezo wetu wa biashara ya mapato ya kudumu kupitia utekelezaji wa mfumo wa maendeleo makubwa na kuwawekea viwango vikubwa vya muamala. Hii inatuweka katika nafasi ya mhusika mkuu katika uwanja wa biashara hii.

Zaidi ya hayo, tulianzisha kitengo cha Kichina cha Biashara cha kutuwezesha kushughulikia kikamilifu shughuli za kibiashara baina ya Uchina na Kenya, ambazo zimeongezeka sana katika muda wa miaka kumi uliyopita. Kupitia ofisi yetu ya Biashara na Uchina na kitengo cha Benki cha uwekezaji, tumeweza kuwatolea wateja wetu wa Kichina na Asia huduma za kina za ushauri wa kifedha, kupata rasilimali, uwekezaji fedha, kuweka muundo, usimamizi wa dhima na huduma ya utekelezaji, kwa serikali na mashirika ya kikifedha kote ulimwenguni.

Kuongezea, tuliingia katika msururu wa kubuni thamani wa utoaji fedha (Value Chain Financing), utoaji fedha kwa mali isiyohamishika na huduma za benki kwa taasisi, ili kuauni kitengo chetu kinachoendelea kuimarika cha huduma za benki kwa mashirika na biashara. Mengine yaliyofanyika kwa mara kwanza yanajumuisha kuanzishwa kwa mashini za ATM za kutoa huduma mbali mbali; kuanzishwa kwa huduma maalum kwa wateja aina ya kituo cha Mikopo ya Nyumba, Kituo cha Fedha za Rasilimali na ofisi ya Utoaji huduma kwa Mashirika; kutekelezwa kwa mfumo wa mtambo kufungisha foleni katika baadhi ya matawi yetu; na kuanzishwa kwa mfumo wa kimapinduzi wa BARX, mfumo wa kimtandao wa biashara ya pesa za kigeni. Kufikia mwisho wa 2014, tulikuwa tumekarabati matawi 25 pamoja na ATM 161 kote nchini.

Kuimarisha utoshelezaji wa mahitaji ya wateja kupitia teknolojia

Tulirekodi alama ya juu zaidi katika Kigezo cha kukadiria uaminifu wa wateja (NPS) katika Kundi Barclays Africa, huku viwango vya kujibu kikamilifu mahitaji ya wateja vikiongezeka mara tatu zaidi. Hii hukadiriwa kupitia mfumo huru wa utoaji alama unaotumiwa kufanya makadirio ya kukubali kwa wateja kuhamasisha au kupendekeza bidhaa zetu. Njia zetu za NPS pia ziliboreshwa, na kudhihirisha kuridhika kukubwa kukiwa na upatikanaji wa bidhaa na huduma zetu na wateja wetu.

Teknolojia iliyoboreshwa ni muhimu katika kurejesha nafasi zetu tatu za juu katika sekta hii ya biashara za benki hapa Kenya. Katika 2014 tuliwekeza kwa kiasi kikubwa mitambo

Taarifa ya Mkurugenzi Mtendaji (kuendelea)

mipya huku tukiongeza utendaji shughuli kupitia teknolojia na kuzidisha uwezo wa zile zilikuwako awali kukiwa na lengo la kuhakikisha upatikanaji, uimara uliyoboreshwa na kufikiwa huduma kwa pande zote. Tulifanya ufufuzi wa programu zetu za utoaji shughuli za benki kupitia simu kukiwa na utoaji kipunguzo cha ada kwenye kipengele kinachoweza kushwa na mfumo wa GPRS unaowapa wateja nafasi ya kupata habari kwa urahisi kuhusu ofa za vipunguzo zinazotolewa kwa wateja wa Barclays. Kuongezea, tuliboresha kiwango cha utoshelevu wa wateja wanapotumia huduma zetu katika ulingo wetu wa shughuli za benki kupitia mtandao. Uwekezaji huu tayari umeanza kuleta natija za kuridhisha na Barclays Kenya imeshuhudia kudumu kwa shughuli za ATM kulio bora zaidi katika kundi hili.

Kushirikisha wafanyikazi wetu

Ikiwa kama sehemu moja ya kujitolea kwetu kutoa huduma zilizo bora zaidi kwa wateja wetu, tulifuatilia njia za kuvutia na kudumisha wafanyikazi bora zaidi katika sekta hii ya benki. Katika mwaka uliyopita, tuliajiri wakurugenzi 9 wapya, maneja wakuu 15 na maneja 7 wa eneo kusimamia watumiaji huduma zetu za benki ili kutusaidia kusonga mbele na mipango yetu ya ukuaji. Sehemu moja ya mkakati wetu ni sisi kuwa mstari wa mbele katika utofauti wa uajiri na ushirikishwaji. Tulifanya juhudi za ufahamu kubadilisha bodi yetu kwa kuleta kina mama imara na wenye ushawishi mkubwa: hivi sasa sisi ndiyo kampuni ya pekee iliyoorodheshwa katika soko la hisa kuweza kutii usawa wa jinsia wa 50:50 kwenye kiwango cha bodi. Isitoshe, tuliandaa Maonyesho ya kwanza hapa Kenya ya Kazi kwa Watu wanaoishi na Ulemavu (Career Fair for People Living with Disabilities) na tuliweza kiasi cha zaidi ya KShs milioni 25 katika kukarabati sehemu zetu za kutoa huduma ili kurahisisha mwendo wa wateja wetu na wafanyikazi wetu wanaoishi na ulemavu.

Wafanyikazi wanahimiza kujihusisha na miradi ya kijamii ambayo wanaipenda zaidi kupitia njia tulizoweka kama ile ya Make a Difference Day (MADD) na ile ya mpango wa Shilling for Shilling programme. Uongozi (Stewardship) – au kuhakikisha mahali pamekuwa bora zaidi kuliko ulivyopapata – ndiyo nguzo ya maadili yetu. Tunaendelea kuwekeza katika na kukuza wafanyikazi wetu kupitia mipango mbali mbali za uimarishaji kazi kama zile za kujumuisha utekelezaji mchanaganyiko wa majukumu; uambatishaji wa kutuma wafanyikazi wetu katika ofisi zetu za kimataifa; na shirika la kina mama la Women Network Forum (WNF). Shirika lililoanzishwa katika 2011 ili kuwatolea ushauri kina mama waliyo katika uongozi, moja miongoni mwa mafanikio ya shirika la WNF ni kuongeza uwakilishi wa kina mama katika kiwango cha ukuregenzi kutoka 7% katika 2011 hadi 26% katika 2015. Zaidi ya hayo, shirika la WNF linatambuliwa kwa kuasisi mpango wa vymba vya Baby Eagle katika baadhi ya sehemu zetu za kazi pamoja pia na maandalizi ya mipango ya kuwashauri wafanyikazi wanawake.

Kusaidia ukuaji wa Kenya

Ni jambo muhimu sana kuwa sisi kama biashara tunaunga

mkono serikali na taifa hii kusaidia Kenya iwe shina la ufanisi wa ukuaji hapa Afrika Masahriki na katika bara lote kwa ujumla. Tuko katika nafasi ya kipekee ya kutumia ujuzi na uzoefu wetu wa kimataifa, eneo na kitaifa na tunatumia vyema fursa hii nchini; kimataifa tunaleta uzoefu wetu katika masoko ya mataifa mengine. Kieneo, tunaielewa Afrika. Kitaifa, tuko na historia yenye mizizi imara hapa Kenya – ya takriban miaka 100 – na tuko hapa kukaa.

Huku Afrika Mashariki ikichukuliwa kama shina jipya la ukuaji katika bara hili, kama taifa, hivi sasa Kenya imewekwa katika kiwango cha 136 kwa 'urahisi wa kufanya biashara', kwa mujibu wa ripoti ya Benki ya Dunia ya Doing Business ya 2015. Kwa hivyo, tutafanya vipi iwe rahisi kwa wawekezaji kuja humu; tutarahisisha vipi kwa wakenya na wananchi wa Afrika Mashariki kuweza kufanaya biashara katika soko hili; na ni jukumu gani tunaloweza kuchukua katika kuwasaidia kukuza biashara zao? Kwa ajili ya hili, tunafanya kazi kwa uhusiano wa karibu na Mamlaka ya Soko Kuu la Mtaji kutekeleza mpango wao mkuu wa Mamlaka hayo. Mpango huo unaweka wazi vigezo vya uongozi wa shirika unaonuiya katika kuboresha mazingira haya ya biashara na kufanya iweze kuvutia wawekezaji wa kimataifa.

Usimamizi wa mzunguko wa maisha

Kihistoria, shughuli za benki hapa Kenya zimefafanua kati ya wateja watu binafsi na wafanyibiashara na imeshindwa kusaidia mpito wa mteja wakati anapohama kutoka kuajiriwa na kupata mshahara hadi kujianzishia bisahara yake mwenyewe.

Sisi kama benki inayotoa huduma rejareja, za mashirika na za kibishara, tunastahili kushirikisha wateja wetu katika safari hii ya ufanisi. Hii ndiyo maana tunapatia kipaumbele na kusisitiza kwa kusaidia wateja wetu wakati ambapo mahitaji yao ya huduma za benki yanaendelea kubadilika. Vipititutumia teknolojia kubainisha uwezo wetu wa kuwasilisha huduma za kibinfsi kwa wateja wetu bila ya kuongeza gharama kwa uwiano wa mapato.

Benki ya “Go-To”

Ningependa kuwashukuru wanabodi kwa kutekeleza wajibu wao vyema kwenye safari hii yetu ya mafanikio. Vile vile ningependa kuwatolea shukrani wateja wetu, wafanyikazi na wamiliki hisa kwa kuendelea kuwa waaminifu kwetu na kwa kuzidi kutuunga mkono.



Jeremy Awori

Mkurugenzi Mtendaji



Alternative channels such as self service counters at our branchess which are aimed at improving customer satisfaction.



Specialised branches that offer unique services opened at key locations within the country.

Our Business

Our value creation process

		
Our customers (at the core)	What they want	What we provide
Individual customers	Savings; loans; credit cards; current accounts	Savings and investments, insurance, credit, loan facilities, payment services
Companies	Current accounts; growth funding; security against risk and advice on starting buying and selling businesses	A partner to help pay staff, process payments, insure against risks and source working capital
Leading international companies, sovereigns and institutions	Raise or deploy capital; move money in and across jurisdictions; advice on mergers and acquisitions	Advice on corporate finance; macro-economic research; capital markets execution; risk management

①	Our key differentiators • Strong brand; 100-year plus history • A strong, well-funded diversified balance sheet • Pan-African reach, representation and access to global expertise • World-class products and service and a track record of innovating for customers and clients • High-calibre employees
②	To deliver • High quality service to clients and customers globally • Challenging and meaningful career for our people • Long-term sustainable returns for our investors • Employment opportunities and economic growth • Solutions to social issue and needs in partnership with government and civil society
③	We generate income through • Our net interest margin • Fees charged for the delivery of transaction services, advice and financial solutions • Commission and spreads on transactions in our investment bank

Together our activities generate sustainable returns over the long term for our shareholders and help our wider stakeholders realise their ambitions.

Our value added statement



	2014 Shs m	2013 Shs m	Change %
Revenue (Excluding interest expense)	31,626	30,359	4%
Impairment	(1,405)	(1,222)	15%
Cash Value Created	30,221	29,137	4%
Human Capital - Remuneration*	8,100	8,903	-9%
Social Capital - Community Investment	49	21	133%
Government Taxes	3,906	3,511	11%
Shareholders	5,432	3,802	43%
Repayment to lenders (Interest Expense)	3,337	2,438	37%
Payments to suppliers	6,318	6,493	-3%
Directors' remuneration	123	148	-17%
Cash value distributed	27,265	25,316	8%
Cash retained for sustainable growth	2,956	3,821	-23%
Number of full-time employees	2,802	2,812	-1%
Cash value created per employee	10,785	10,362	4%
Number of customers	768,988	650,000	18%
Cash value created per customer	39	45	-13%

*One-off restructuring cost of Shs 788m included in 2013

Our Business

Our Material Issues

The material issues identified in this report are the result of a close examination of the environment we operate in, our strategy, current performance and stakeholder feedback. The measures we have taken to respond to these issues are highlighted in the strategy section of this report.

Our Pillars		Material Issues	Responses
Customer		- Quality of our IT infrastructure - Excellence of service - Trust and safety	- Enhance penetration of digital channels to improve our customers' experience - Simplifying our products and services
Colleagues		- Attracting and retaining talent - Employee engagement - Diversity and inclusion	Embedding our purpose and values and integrating them into recruitment, promotion and performance management
Citizenship		- Access to financial services - Helping business start-up and grow	Contributing to growth through financing and supporting businesses and ensuring our products and services support sustainable progress
Conduct		- Maintaining high ethical standards - Treating customers fairly	Increase risk awareness
Company		- Managing risk, capital and liquidity - Revenue growth - Cost control	- Clear financial targets - Enhancing operational efficiency by investing in smarter systems

Our stakeholders



Customers and clients



Colleagues



Shareholders



Government and regulators



Civil society and communities



Strategic partners



Suppliers



Media



General public

Our Board of Directors



FRANCIS OKOMO-OKELLO (65)

BOARD CHAIRMAN

Francis Okello joined the Board in August 2003 and was elected Chairman in April 2005. He holds a Bachelor of Laws (LL.B) degree from the University of Dar-es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs. He is also a Fellow of the Kenya Institute of Bankers (FKIB). He is Chairman of TPS Eastern Africa Limited (Serena Group of hotels, lodges & resorts) and a Non-Executive Director of the Nation Media Group Limited. He is also a member of the Advisory Board of the Strathmore Business School, Strathmore University and is currently the Executive Director in charge of Legal and Corporate Affairs at the Industrial Promotion Services Group which is an affiliate of the Aga Khan Fund for Economic Development (AKFED). Francis was appointed as an Independent Non-Executive Director at Barclays Africa Group Limited with effect from 1st October, 2014.



JEREMY AWORI (44)

EXECUTIVE DIRECTOR - MANAGING DIRECTOR

Dr. Jeremy Awori joined Barclays Bank of Kenya Ltd in February 2013. Prior to this he has held various positions in banking in the Middle East, South Asia and Africa. He has lived and worked in the UK, North America and Asia and holds a Masters in Business Administration from McGill University, Montreal Canada and a Bachelor of Science undergraduate degree in Pharmacy from Manchester University in the United Kingdom. In addition to his responsibilities at Barclays, Jeremy is the former Chairman of the Kenya Bankers Association, a board member of Kenya Private Sector Alliance (KEPSA) and sits on several other executive forums in Kenya. He is also a member of Young Presidents Organization and an Aspen Global Leadership Institute fellow.



YUSUF OMARI (41)

EXECUTIVE DIRECTOR – CHIEF FINANCIAL OFFICER

Yusuf Omari joined the Board in July 2009. He holds an Economics degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from Strathmore Business School, Strathmore University (Nairobi). He is a Certified Public Accountant as well as a Certified Internal Auditor and is currently the Chief Financial Officer. He is also a Board member of The University of Nairobi, ICPAK and IIA.



BROWN ONDEGO (64)

NON - EXECUTIVE DIRECTOR

Brown Ondego joined the Board in August 2003. He is an alumni of the London Business School and the University of New Orleans Port Planning Development Program. He is currently the Non-Executive Director of REA Vipingo, Africa Railways, Rift Valley Railways (Kenya) Limited, and Rift Valley Railways (Uganda) Limited.

Our Business

Our Board of Directors (continued)



DR. LAILA MACHARIA (44)

NON - EXECUTIVE DIRECTOR

Dr. Laila Macharia joined the Board in August 2014. She is the Chief Executive Officer of Africa Metro (formerly Scion Real), a pan-African investment company focused on urban development, and the current Vice Chairman of the Kenya Private Sector Alliance (KEPSA). She holds a Doctorate in Law from Stanford Law School, a Masters in Law from Stanford Law School, a Masters in Law from Cornell Law School, a Bachelor of Law from Cornell Law School and a Bachelor of Arts (BA) from the University of Oregon. She is a lawyer by training with experience in structuring and corporate finance transactions.



JANE KARUKU (52)

NON - EXECUTIVE DIRECTOR

Jane Karuku joined the Board in August 2003. She holds a Bachelor of Science Degree in Food Science and Technology from the University of Nairobi and an MBA in Marketing from the National University of California. She was most recently President of the Alliance for a Green Revolution in Africa (AGRA). She has also held a number of senior positions in various companies including Deputy Chief Executive and Secretary General, Telkom Kenya, and Managing Director, Cadbury East & Central Africa.



ROSE OGEKA (54)

NON - EXECUTIVE DIRECTOR

Rose Ogega joined the Board in April 2002. She holds a Bachelor of Commerce Accounting (Hons) from the University of Nairobi and is a Fellow of the Institute of Certified Public Accountants of Kenya. She is currently Managing Director of Bloom Consultancy Limited and a Non-Executive Director for Old Mutual Kenya.



ASHOK SHAH (66)

NON - EXECUTIVE DIRECTOR

Ashok Shah joined the Board in July 2011. He holds a Diploma in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession. He is an Associate of the Chartered Insurance Institute, member of the Chartered Institute of Arbitrators and currently the Group Chief Executive of Apollo Investments Limited.

Our Board of Directors (continued)



NORAH ODWESSO (47)

NON - EXECUTIVE DIRECTOR

Norah Odwesso was appointed to the Board in August 2014 as a Non-Executive Director. She holds an MA degree in Finance & Investment (UK), a Bachelor of Commerce degree (B.Comm) (Hons), UON and is a Certified Investor Relations professional. She is currently the Public Affairs & Communications Director for Coca-Cola Central East & West Africa. She is an Honorary Fellow of the Kenya Institute Management (KIM); Chairperson, Junior Achievement Kenya, a Board member of the Gender Violence Recovery Centre, and a member of the Governing Council of the Management University of Africa.



WINNIE OUKO (44)

NON - EXECUTIVE DIRECTOR

Winnie Ouko was appointed to the Board in August 2014 as a Non-Executive Director. She holds an MBA degree in Finance & Strategy (Cornell University, USA), a Bachelor of Commerce degree (B.Comm) (Hons), UON and is a Certified Public Accountant (Kenya). She is currently the Managing Director of Lattice Consulting, a boutique corporate finance and strategy advisory firm.



WAWERU G. MATHENG (44)

COMPANY SECRETARY

Waweru holds a Bachelor of Laws (LLB) degree and a Master of Business Administration (MBA) degree from the University of Nairobi. He is an accomplished legal professional, with wide and varied experience gained in the banking industry, the retail industry and in private legal practice. Waweru is currently the Head of Legal & Secretarial Services at Barclays Bank of Kenya.

Waweru is an Advocate of the High Court of Kenya and a Certified Public Secretary. He is also a Council Member and Fellow of the Institute of Certified Public Secretaries of Kenya and a member of the Law Society of Kenya.

Our Business

Our senior leadership



ABDI MOHAMED

CHIEF OPERATING OFFICER

Abdi Mohamed has 19 years experience in Retail Banking, Corporate and Operations in Kenya, the UK and Zambia. He was appointed COO for the Kenya business in February 2012. Prior to this, he was the Consumer Banking Director for the Kenya business for three years and filled a similar position – as Retail Banking Director – in Zambia for two years. He holds a Bachelor of Commerce degree from Kenyatta University.



ZAHID MUSTAFA

CONSUMER BANKING DIRECTOR

Zahid Mustafa was appointed Consumer Banking Director for Kenya in February 2013. He joined Barclays in 2006 as Consumer Banking Director for Egypt. He also has over 13 years of consumer banking experience with Citibank in various roles. He holds an MBA from Lahore University of Management Sciences, Pakistan and a Bachelor of Chemical Engineering from the University of Engineering and Technology, Lahore.



WILLIAM JUMA AROGO

CHIEF RISK OFFICER

William Arogo was appointed Chief Risk Officer in 2011 after serving as Corporate Credit Risk Director since 2007. He joined Barclays Bank of Kenya in 1993. He has held various positions in Corporate Credit, most recently as Associate Director Corporate Credit with the Africa Regional Office. He holds a Bachelor of Commerce degree from Kenyatta University and is an Associate of the Chartered Institute of Bankers ACIB (UK).



ANTONY MULISA

REGIONAL TREASURER EAST AFRICA

Antony Mulisa has over 19 years banking experience, 16 of these in large and medium sized treasuries in Kenya, Uganda, Tanzania and Egypt. As the Regional Treasurer for Barclays, he is responsible for managing the overall market risk, liquidity risk and capital risk for Barclay's group businesses within East Africa. Tony is a certified dealer through the ACI-Financial Markets and an associate member of the Chartered Institute of Bankers (ACIB-UK). He holds a Bsc (Hons) Degree in Financial Services and an MBA from the Manchester Business School, MBS-UK.

Our senior leadership (continued)



LABAN OMANGI

REGIONAL HEAD OF COMPLIANCE

Laban Omangi was appointed Regional Head of Compliance for East and West Africa Cluster and Country Head of Compliance for Kenya in July 2009. Previously Head of Risk Advisory Services, he is a Member of the Kenya Institute of Bankers and the Institute of Economic Affairs. He holds a Bachelor of Commerce degree from the University of Nairobi.



HUMPHREY MUTURI

BUSINESS BANKING DIRECTOR

Humphrey Muturi has 20 years' experience in banking and is employed as Corporate Credit Risk and Corporate Relationship Manager at Barclays Bank of Kenya. Prior to this, he worked for NIC Bank as Senior Corporate Relationship Manager.



CAROLINE NDUNG'U

MARKETING AND CORPORATE RELATIONS DIRECTOR

Caroline Ndungu joined Barclays in February 2014, bringing more than 10 years' experience in the FMCG. Prior to joining Barclays, she held various senior management positions at EABL Diageo, her last as KBL Marketing Director. She holds a Bachelor of Arts Economics degree from the University of Nairobi, an Advanced Management Program diploma from Strathmore Business School/IESE Business School Barcelona Spain and a CPA (K) through Strathmore University.



GENEVA MUSAU

HUMAN RESOURCES DIRECTOR

Geneva Musau is Human Resources Director at Barclays Bank of Kenya. Prior to joining the company, she held various senior management, her last role being as Human Resource & Administration Director for Zain Telecommunications Ghana. Geneva holds a PHD in Human Resource Management from AIU USA, a Master of Arts Degree in Human Resource Management from Demontfort University Leicester (UK), a Masters in International Business Administration from USIU, a Bachelor of Commerce degree in Business Administration from Nairobi University and a Higher National Diploma in HR Management from the Institute of Personnel Management.

Our Business

Our senior leadership (continued)



ANTHONY KIRUI

HEAD OF MARKETS

Anthony Kirui has more than 14 years banking experience in the East African region and over 10 years in the Treasury and Markets business. Roles previously held include Head of Trading for Barclays Kenya and, more recently, Country Treasurer for Barclays Bank of Uganda. He returned to Kenya in January 2015 to run the Kenya Markets business as Director, Head of Markets, with responsibility for all derivatives, equities, rates, fixed incomes and FX Sales and Trading. He holds a BSc (Econ) in Business Studies from the University of Wales, Aberystwyth.



JAMES AGIN

CORPORATE BANKING DIRECTOR

James Agin began his banking career at Barclays Kenya in 1993 and fulfilled various roles in Corporate and Treasury for 10 years before moving to Barclays Uganda as Corporate Director. In 2008, he joined KCB Uganda as the Managing Director, moving back to Kenya in 2010 to work at KCB, where he was initially the Chief Business Officer for the East Africa region and most recently Corporate Banking Director for KCB Kenya. James has 10 years of Board experience in South Sudan, Tanzania, Uganda, Rwanda and Burundi and holds an Advanced Management Program from Harvard Business School, an MBA from the IESE Business School in Spain and a Bachelor of Science from the University of Nairobi.

Laying the foundation

Our strategy informs and is tested against our material issues and implemented through five strategic themes.

Customers at the core

Deliver superior customer and client service and make their lives easier through innovation and value-for-money products.

Build out the platform

Enable growth, scale and efficiency, while supporting our focus on customer and client demands and risk management.

Control and compliance

Embed a culture of transparency and proactive support for risk, governance and control.

People centricity

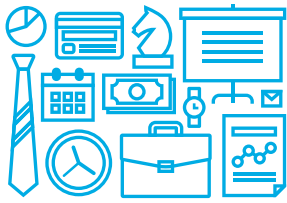
Engage, empower and create a diverse and inclusive environment where our people can develop further and fulfil their potential.

Deliver sustainable growth

Expand our presence in our priority markets by developing our tailored value propositions.

Our strategic drivers for 2014

Our strategy is underpinned by our strategic drivers. In 2014 we made the following commitments:

①	Deliver disciplined strategic growth		②	Build new revenue streams	
③	Deliver focused customer service	④	Deliver on transformational projects	⑤	Build and strengthen our teams
	⑥	Build and differentiate our brand	⑦	Deliver on financial targets	

Our Strategy

Balanced scorecard review

Customer

Our customers are at the core of everything we do. We want to become their 'Go-To' bank by providing them with excellent products and services and through the way we conduct business on a daily basis.

Introduction

To become the 'Go-To' bank in Kenya, we are aware we need to invest time in understanding our customers' immediate and longer-term needs. We see ourselves as a bank that takes care of our customers and treats them fairly. We understand we need to focus on the convenience of our offerings as well as our availability and accessibility. Our strategy to help our customers achieve their ambitions in the right way includes keeping our promises, improving our banking processes, driving innovation and ensuring excellence at every customer touch point.

How we measure ourselves	2014	2013
Total number of banking customers	768,988	650,000
Number of branches	119	118
Number of ATMs	239	230
Net Promoter Score® (%)	21%	7%
Number of complaints per 1,000 accounts	1.77	2.08

Products and services

In the past year, we increased our efforts to understand our customers' needs and introduced several products and services aimed at enhancing their experience with us. In addition, we implemented initiatives to reduce customer churn, simplify the account opening process, serve and maintain existing customer's better, encourage cross selling and reactivate dormant accounts.

Zidisha bonus

Launched in 2014, the Zidisha Bonus Savings product is a unique savings proposition that offers customers up to 10% interest on savings, affording them some of the best returns currently available in the country. Only a year old, the Zidisha Bonus proposition was a double award winner at the 2014 Marketing Society of Kenya (MSK) awards and named Best Retail Product at the 2015 Asian Bankers Awards.

Cashback consumer promotions

We regularly roll out cash back campaigns to reward our customers for conducting transactions via their debit or credit cards rather than using cash. This dovetails well with the ongoing push for a cashlite economy in Kenya.

2014 FIFA World Cup Card campaign

Customers who signed up for a debit or credit card between March 2014 and May 2014 or used their cards to conduct transactions during the same period were eligible to win one of two packages to attend the 2014 FIFA World Cup held in Brazil.

'We Salute You' campaign

The 'We Salute You' campaign is Barclays' way of recognising the outstanding accomplishments of enterprise owners. Specifically, it is an appreciation of our journey with local entrepreneurs in the realisation of their dreams.

Salary Retrenchment Cover

We were the first bank to launch Salary Retrenchment Cover to cushion customers, whose salaries are processed by the bank, from the disruption that sudden job loss can cause.

Enhancing our service levels

Barclays aims to deliver great customer service at every customer touch point. This means getting things right the first time. Occasionally however, things do go wrong and our response must be swift, polite and consistently fair. We aim to resolve 70% of complaints on the same day. Our First Point of Contact (FPOC) complaints are dealt with at branch and Contact Centre level, while investigative complaints are handled by our Complaints Handling Unit.

Our Contact Centre is guided by the following industry and Barclays Africa standards:

- Service level (Standard 80%)
- Abandon rates (Standard 2%)

We instituted various measures to improve our service levels. These include conducting ZOOM-IN, which are weekly workshops where all staff members across the business receive training about key products and services to improve product knowledge and process adherence. In addition, we enhanced service delivery by increasing self-service e-channels such as Interactive Voice Response (IVR) and enhancing our internet and mobile banking platforms, rolling out intelligent ATMs; launching remote account opening; installing Queue Management Systems in branches; and upgrading existing ATMs.

Balanced scorecard review (continued)

Customer (continued)

Driving customer satisfaction

We conduct various in-country and Barclays Africa-driven surveys throughout the year to determine customer satisfaction at different touch-points.

- Our Treating Customers Fairly (TCF) is aimed at ensuring customers are being treated fairly throughout the various stages of the product life cycle. This includes inculcating an internal TCF culture throughout the organisation by conducting regular compulsory training sessions. TCF guides the Bank in addressing customer needs swiftly and fairly. It also ensures we offer transparent information and credible counsel to our customers to help them make responsible and relevant decisions on our products and services. In addition, TCF requires that we deliver on what we have promised and, ultimately, that we treat customers with the respect they deserve, in line with our customer-centric strategy.
- The Net Promoter Score (NPS) is a Pan African survey that determines overall customer loyalty to the bank and is established by asking customers how likely they are to recommend the bank to their family members and friends – on a zero to 10 point scale.
- Mystery Shopping is an exercise conducted by an anonymous person to check the efficacy of all front end channels relating to customers service and sales experience as well as the communication of misleading information or gaps within the internal process and possible potential or existing fraud.

Accessibility

Our customers need to be able to access us via channels that are most convenient to them. In addition to our 119 branches and 239 ATMs, customers are able to conduct transactions via internet and mobile banking. We invest in our channels on an ongoing basis to make them more accessible and convenient to our customers and encourage uptake. We also continuously conduct various customer campaigns to increase awareness around the available channels.

- Active online and internet customers - 28,988
- Active mobile app customers - 39,548
- Direct sales staff - 927

Sponsorships

Since 2010, we have been the proud sponsors of the Barclays Kenya Open and title sponsors. The event is accredited to the European Challenge Tour and is currently East and Central Africa's premium golf tournament. In 2014, the event attracted 154 golfers from various countries and was attended by an unprecedented 9,000-plus spectators. In addition, we sponsor the Barclays Golf Series, an eight-month countrywide tournament, which provides professional and amateur golfers with an opportunity to practice their game ahead of major tournaments. Our total investment in golf is more than Shs 89m.

We also sponsored the Barclays Live Dimensions in partnership with Pine Creek records. This is a monthly music showcase, which places upcoming musicians on the same stage as more established artists such as Eric Wainaina and Suzanna Owiyo.

Awards

We won awards throughout the year for our products, inclusion, diversity and women agenda. Most notable of these were:

- The Marketing Society of Kenya Best Promotion Award for our innovative Zidisha Bonus Campaign
- The Euromoney Awards for Excellence for the Best Domestic Cash Management House
- The Global Banking and Finance Review Award for the Best Corporate Bank in Kenya

Looking ahead

We need to identify where we intend to play in the social innovation space. Increasingly, banking trends will be driven by the country's youth, many of whom are unbanked. We need to find solutions on how to bank those who are not traditionally seen as targets for banking services. In particular, we are planning to explore partnership opportunities in the mobile space to drive customer growth and product uptake.

Celebrating Team Kenya

Awards won in 2014



Best Domestic Cash Management House
Euromoney Awards



Best Promotion 2014
(Zidisha Bonus Savings Account),
Marketing Society of Kenya
Awards



Best Corporate Bank, Kenya 2014
The Global Banking and Finance
Review Awards.



Best bank in the Financial Reporting Category
1st runners up in the
Environment & Social
Responsibility category
Financial Reporting (FiRe)
Awards.

*Well done Team Kenya,
Keep the fire burning
#ProudOfYou!!*



The Cards Warrior Award that
recognised the pioneering spirit of
Barclays Bank in the cards space.
Best Merchant Campaign
recognising the innovative and
effective merchant campaigns
The Visa Awards



1st Runners Up, Banks & Mortgage category
20th Home Expo.



Gerald Maithya was named in the
Financial News list of **'40 people
in finance who go further for
good causes'**



We received a **certificate of recognition** for our leadership in the Diversity and Inclusion space citing our 50/50 board representation as a standard.

Balanced scorecard review (continued)

Colleagues

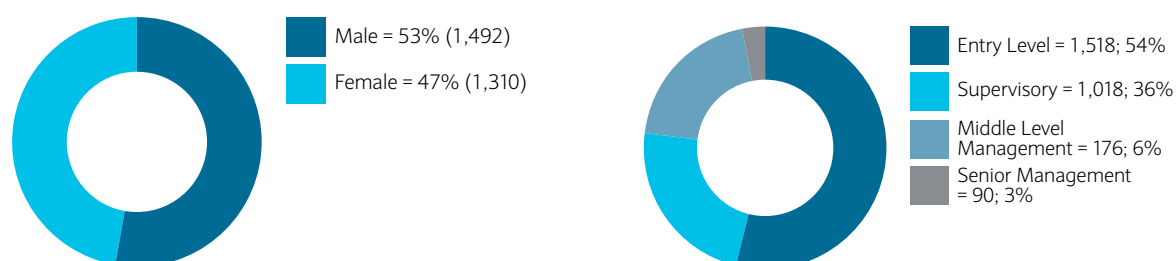
Building our internal capability by having the right people and skills in place to deliver on our strategy.

Introduction

Our people are one of our core assets. We understand that having the right people in the right jobs is core to achieving our goal of becoming Kenya's "Go-To" bank. We want our employees to feel excited about what they do at Barclays and that they are being offered tangible career development opportunities and benefits. We are also strongly focused on nurturing potential leaders and providing them with learning and mentorship prospects in conjunction with the greater Barclays Africa Group. In addition, we are committed to ensuring diversity and inclusion and Barclays is currently the only listed company to achieve 50:50 gender representation at board level.

How we measure ourselves	2014	2013
Total permanent employees	2,802	2,815
Total non-permanent employees	1,330	1,014
Permanent employee turnover rate (%)	7%	13%
Retention of high performing staff (%)	31%	32%
Women in senior management roles	25	21
Absenteeism rate	0.11%	0.11%

Our people



Investing in our people

Engaging with our employees and ensuring that they have the right skills and tools to do their jobs properly is critical to us. In 2014 we invested significant amounts in the development of our employees, which amounted to 1% of our annual wage bill. Much of our focus was on management training, technical development and embedding our values of respect, integrity, service, excellence and stewardship throughout the organisation.

Our Strategy

Balanced scorecard review (continued)

Colleagues (continued)

Employee Opinion Survey

Barclays Africa conducted an Employee Opinion Survey (EOS) in 2014 to gauge staff perceptions of the working environment. This is the second time the survey has been conducted for everyone in the Group and allowed us to benchmark our progress against the last EOS in 2012. 81% of Barclays Kenya employees participated in the survey, which was well above the Group average.

The survey is anonymous, but captures grade, gender, age and other metrics, allowing performance to be assessed across employee segments. Individual question responses are aggregated into categories, which form the principal basis for assessing employee engagement.

We showed notable improvement under various categories including Business Leadership; Learning & Development; Hiring the right people for the future; and Customer Focus. Notably, we ranked Same As or Above Africa overall in all categories of the survey.

- **Engage:** Colleague pride in working for Barclays, their willingness to recommend it as a great place to work and their intent to stay and contribute to the achievement of Barclays goals – 91%
- **Enable:** The degree to which resources, policies, procedures and practices enable colleagues to do their jobs well – 69%
- **Energise:** Barclays effectiveness in ensuring colleague wellbeing through respecting personal and family needs, helping them manage work pressure, and ensuring freedom from bullying and harassment – 66%

While our employee engagement score was high at 80%, other areas need to be improved on and in 2015 we will focus on the following:

Customer Focus



While there was marked improvement in this score, a lot remains to be done to provide best-in-class service and become the “Go-To” Bank for customers.

Operating Efficiency



A concern was that internal processes put the Bank and employees at a disadvantage in their quest to provide excellent customer service.

Career & Mobility



Employees would like more opportunities to grow within the business via promotions and working in other functions.

Recognition



Employees noted that there are many positives in the business, which they would like to see recognised and celebrated.

Reward



Employees requested that we compare our reward structure with other players in the market. In recent months we have made progress in addressing longstanding reward issues such as medical and staff loans and we will continue to benchmark ourselves against the best in the market.

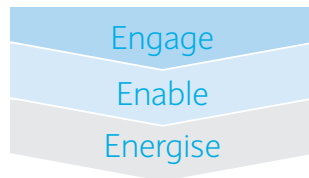
Attracting and retaining talent

We are committed to building and retaining the talent within our organisation and offering our employees dynamic growth opportunities. This is a vital part of our drive to generate attractive shareholder returns and attain a top three position within Kenya's competitive financial services market.

Our values underpin everything we do and we aim to attract and retain people who live our values and whose commitment fuels high performance and outstanding behaviour. Through our colleague engagement model (engage, enable, energise) we want to inspire and develop our employees into leadership positions.

Balanced scorecard review (continued)

Colleagues (continued)



The banking sector is characterised by high mobility of top talent. At Barclays, we aim to create a conducive work environment that embraces multigenerational and multicultural employees and provides opportunities to grow and thrive. One of our goals is to sustain a market leading quotient of female leaders in senior positions and we currently form part of an executive-led mentoring programme for high potential women instituted by the Barclays Africa group. We support women's agenda advocacy and thought leadership in Kenya. In this respect, we partnered with New Faces, New Voices gender advocacy group founded by former South Africa first lady, Graça Machel, to lobby local boards to embrace diversity and inclusion under the Leadership Dialogues Series forum.

Rewarding excellent performance

We want to promote passion and pride amongst our employees and help people achieve their ambitions in the right way. We want them come to work motivated, do their best and be recognised and rewarded for it. In this respect, we conduct annual performance reviews, offer competitive remuneration packages and recognise our employees at annual excellence awards. Our remuneration strategy considers various internal and external factors including underlying related-adjusted business performance, current and future affordability, industry remuneration trends and regulatory developments. Total employee costs in 2014 amounted to Shs 8.1bn, down from Shs 8.11bn in 2013. The average wage for a Kenyan full time employee was Shs 2.2m per annum in 2014.

Promoting employee wellbeing

Keeping the lines of communication open, soliciting feedback and interacting regularly with employees are important ways to ensure their wellbeing. In addition, we aim to promote a work-life balance at Barclays.

Wellness programme

Rapid social and organisational transformation, economic upheaval and other factors contribute to elevated stress levels amongst employees. Our Employee Wellness Programme is a tool to mitigate these challenges and provide comprehensive health solutions to help employees deal with a broad range of personal and work related challenges and enable the organisation to understand, protect and improve its resilience.

In 2014 we expanded our wellness programme to include lifestyle diseases such as diabetes and high blood pressure. In addition, the following wellness activities were rolled out to all Barclays employees:

- An apple for no lift day
- Mountain hikes
- Comprehensive employee/family health risk assessments
- Broad based Employee Assistance Program

Towards the end of the year, Barclays introduced an enhanced medical aid cover to provide employees with improved compensation terms and a wider range of options as well as a top-up option, thereby giving employees a greater say over their health matters.

Award

We were delighted to maintain our status as a Best Place to Work as confirmed by the annual Deloitte Best Place to Work Survey. Our ambition remains to create a workplace that opens doors for employees to nurture their talent and achieve their personal, financial and career goals.

Our Strategy

Balanced scorecard review (continued)

Citizenship

We are committed to making citizenship core to our values and daily business decisions. Our One Africa strategy commits us to creating long-term value for our customers, colleagues, communities and other stakeholders.

Introduction

We are acutely aware that one of Kenya's major challenges is the generation of economic growth and reduction of poverty throughout the country. Our 2015 Citizenship plan sets out our intention to contribute to sustainable economic growth in a way that creates value for society and that is consistent with the highest standards of integrity. We believe we are a force for good in Kenya and that by partnering with various like-minded institutions, we can play a significant role in contributing towards the financial literacy and economic empowerment.

How we measure ourselves	2014	2013
Citizenship Plan (number of initiatives on track or ahead)	5	2
% employees attesting to code of conduct (Barclays Way)	100%	100%
Total community investment spend (approx. KShs million)	49	21
Financial literacy (number of consumers reached - '000)	2,500	1,052

Driving sustainable growth

We are committed to delivering sustainable and responsible finance solutions to individuals and enterprises that promote economic growth, make banking easier, empower consumers and enhance financial literacy.

Building enterprises

We promote entrepreneurship, a key economic driver in Kenya, through the provision of relevant and sustainable products and services to small and medium enterprises (SMEs). We encourage our customers to take their businesses to the next level by providing them with financial advice in areas such as taxation, marketing, HR, accounting and trade. In addition, we give them exposure to foreign markets and networking platforms through initiatives such as the Barclays Business Club, which has more than 13,000 members.

Encouraging women in business

Through the Women Network Forum, Barclays held a series of forums specifically targeted at women business leaders of enterprise and corporate organisations. One of these was the Women in Leadership Forum, which featured the then Lord Mayor of London, Alderman Fiona Woolf, Cabinet Secretary for Devolution and Planning, Anne Waiguru, and several policy leaders who shared business leadership tips on:

- Navigating the government procurement process
- Using Private public partnerships and joint venture opportunities to grow a business



Women's Forum graced by the Lord Mayor of London, Alderman Fiona Woolf and Cabinet Secretary for Devolution and Planning, Anne Waiguru.

Balanced scorecard review (continued)

Citizenship (continued)

Supporting our communities

Our ambition is to empower as many of Kenya's out of work youth (18 to 35 years) as possible with tools that will help them gain economic independence and security. This is closely aligned with the objectives of the Ministry of Devolution and Planning. To achieve this, we partner with reputable NGOs and development institutions to make a lasting difference in the lives of young Kenyans.

Financial inclusion and literacy

We acknowledge that, as a global financial services business, we have an important role to play in bridging this gap. In this respect we have partnered with international humanitarian agency, CARE, and development organisation, Plan International, to implement a Banking on Change programme, a pioneering community-based savings and loan model with the goal of reducing poverty, and enhancing income opportunities for households in seven rural and peri-urban districts.

An estimated 800 groups have already embraced the initiative in which individuals apply proven savings and investment practices. The participating groups have managed to build an asset base of Shs 7.6 m with 99% of members already accessing loans to boost their businesses and support their families. Interest revenue generated from loans in circulation is ploughed directly back into the groups fund to facilitate their growth and make an even greater economic impact.

Immersion Training Strategy Targeting Young Marginalised Entrepreneurs (ITS TYME) Programme

Barclays partnered with Junior Achievement Kenya to invest £180k (Shs 24.5m) over a three-year period in the training and setting up of income generating activities for 4,500 youth. The programme, which is largely driven within Nairobi's slums, has seen many groups of young people receive training, set up businesses and even access funding from the Women Enterprise Fund and Youth Fund. Those young people who are slightly more advantaged and have been able to undergo vocational training have been equipped with skills on how best to secure employment or set up their personal businesses and run them professionally.

Step Up for Kibera

Barclays and Shining Hope for Communities joined forces to invest £50k (Shs 6.8m) in 2,000 youth in Kibera slums. The funding is aimed at training vulnerable youth on business skills and ensuring the businesses they set up are sustainable.

Career Fair for People Living with Disabilities

In Kenya, 33% of people living with disabilities are not formally employed. Providing these people with opportunities for gainful employment is one of the core pillars of our diversity and inclusion agenda and we plan to invest significant resources in achieving a gold standard in this area. In 2014, we hosted Kenya's inaugural Career Fair for People Living with Disabilities, providing them with employability and enterprise skills to boost their economic empowerment prospects. The career fair has been adopted as best practice by Graça Machel, who plans to share it with other African countries. In addition, we made a deliberate decision employ additional people living with disabilities within our own ranks, in line with our overall diversity and inclusion agenda. We also invested more than Shs 25m in remodelling our facilities to cater for people with disabilities.

Career Fair for People Living with Disabilities graced by Graça Machel



Our Strategy

Balanced scorecard review (continued)

Citizenship (continued)

Josephine Atieno has seen her business grow by more than 200% since July when she started distributing solar power equipment and accessories under the Light up Kenya programme. One of the results of her successful solar lanterns business, which included undergoing a financial literacy and entrepreneurship training programme to equip her with skills to start and manage her own solar lantern business. The training programme was initiated by Barclays Bank of Kenya as part of its Banking on Change (BOC) agenda. BOC aims to deepen financial inclusion among vulnerable people, by taking a savings-led rather than credit-led approach to micro financing. Barclays is working with CARE Kenya to implement the programme in Homa Bay, targeting women and youth groups.



Josephine Atieno demonstrates how to use one of the solar lanterns on sale in her shop. She has built a successful business following the completion of a financial literacy and entrepreneurship training programme, which equipped her with the requisite business management skills.

Barclays Light Up Kenya

About 30% of households in Kenya are connected to the national electricity grid and a massive percentage of the population relies on kerosene lighting. While many resources have been channelled through the youth, there are limitations as to how long they can run their businesses after sunset. This was one of the major insights leading to the launch of the Barclays Light up Kenya initiative, aimed at providing 250,000 households with quality solar lanterns.

Young people can access the lanterns from selected manufacturers at a subsidised price and resell them to their communities. The expected impacts include: extended business hours for youth who are already running businesses, but have to close when it gets too dark; longer study time for school going children; healthier and safer living conditions with the eradication of the use of kerosene; and job opportunities for the youth selling the lanterns.

This initiative will not only be instrumental in helping the Ministry of Devolution and Planning achieve its objectives, but will significantly contribute to this year's "International Year of Light" campaign by UNESCO, which aims to eradicate the use of kerosene.

Employee initiatives

Barclays employees continue to play a critical role in the community by volunteering their time and skills to mentor youth in various economic empowerment programmes. This is witnessed in the annual Make a Difference Day where all employees spend time mentoring youth groups of their choice.

In 2014, 3,370 employees, spent 13,098 personal hours, 14,494 office hours and Shs 16.5m on a single day in October helping over 20,000 youth unlock their potential through personalised mentorship sessions.

Areas of improvement

While dealing with Kenya's youth is fulfilling, it is also challenging in that the majority of young people prefer to run with businesses that generate immediate returns. This requires increased education on the value of endurance and taking a longer term view of business, which should ideally be backed up by mentorship over a given period of time.

Another significant challenge to small business growth is a lack of access to credit due to limited options. As a solution to this we have rolled out a new credit assessment tool for SMEs where credit worthiness is measured against a behavioural scorecard rather than traditional bank statements.

Balanced scorecard review (continued)

Conduct

We are a values-driven bank and aim to act with integrity in all of our dealings with our stakeholders.

Introduction

At Barclays we constantly ask ourselves: Are we living our values? Are we following the right processes and procedures? Are we treating our customers fairly? Our purpose is to help people achieve their ambitions in the right way. This means following the banking laws, regulations and codes – not only those promulgated by the Kenyan government, but also our own internal controls.

How we measure ourselves	2014	2013
Treating Customers Fairly (TCF)	78%	76%
Disciplinary as a percentage of total employee base	6%	8%
Grievances as a percentage of total employee base	2%	1%

Treating Customers Fairly

Transparency is at the core of treating customers fairly. This means not selling inappropriate products and being honest about the pricing of loans or the total cost of credit. Customers need to be aware of all the facts to make informed financial decisions and banks need to facilitate this process for them.

Over the past year, we took the following measures at Barclays to ensure we do what is best for the customer:

- Thorough screening of customers before on-boarding them to eliminate fraudulent activities
- Ongoing truthful and fair communication
- Disclosing the cost of credit as required by the Kenya Banks Reference Rate regulation of 2014
- Adherence to between 60 and 70 policies and standards on trading set at global standards. Dedicated staff in compliance who monitor the trading



Employee reward and recognition for exemplary performance.



Employee engagement through participation in community outreach programs

CFO's report on financial performance



It has been yet another successful year for Barclays Kenya with a 10% growth in net profit to Shs 8.4bn up from Shs 7.6bn in 2013, mainly driven by balance sheet growth and increased operational efficiency.

Loans and advances to customers

The lending book recorded an overall growth of 6% during the period, supported by growth in the consumer loan book growth of 7%. Looking at specific products, we registered 72% growth in Barclay Loan, 8% growth in the scheme loan book, and a 19% growth in card balances year on year. As at June 2014, the corporate book was up by 28%, however, large corporate repayments in the fourth quarter of 2014 led to 4% growth by close of December 2014. Impressive growth of 44% was witnessed for both asset finance and term lending corporate products.

Deposits

We mobilised deposits throughout the year with current and savings accounts contributing 77%, while the more expensive term deposits constituted the remainder. The launch of Zidisha Bonus and Zidisha Payroll campaigns as well as increased uptake of our Premier and Prestige banking propositions drove the growth in retail deposits by 9% year on year. Our loan to deposit ratio reduced from 78% in 2013 to 76% in 2014 while our liquidity ratio went up from 42% in 2013 to 44% in 2014. We therefore have a well-funded balance sheet that positions us to meet our growth projections going forward.

Income

Net Interest Income was up by 4% from Shs 18.9bn to Shs 19.6bn. This growth was largely driven by an 8% rise in interest income attributable to balance sheet growth partially offset by a 37% increase in interest expense on the back of growth in customer deposits and increase in the cost of deposits by 50 basis points to 1.9%. Overall net interest margin dropped by 20 basis points to 10.4%. Non-interest income dropped by 4% attributable to a non-recurring visa shares mark to market gain in 2013 and lower income from insurance administration fees.

Impairment

Credit impairment charges increased by 15% in line with the growth in loans. Our loan loss ratio remained low at 110 basis points with coverage ratio for the year at 82%. NPL ratio increased marginally by 60 basis points to 3.6%; however this ratio remained significantly below the industry average. This is an indication of our robust risk management principles and the quality of the assets that we continue to write on the balance sheet

Costs

We managed our costs efficiently throughout the year and registered a lower cost to income ratio of 52% as compared to 53% last year. Staff costs remain our largest cost item accounting for 55% of total costs. We also carried out an extensive refurbishment exercise in our branches which saw our property costs go up. We invested in intelligent ATMs, and currently boast the highest number of these ATMs in the industry. This investment will enable us to generate even better cost efficiencies in the future.

Capital

Our capital ratios remain strong with sufficient headroom above the regulatory limits. However, the capital composition is mainly Tier I with limited Tier II capital supply. The ratio between Tier I and Tier II is currently at 99% to 1%. The current capital structure thus provides an opportunity for capital optimisation by injecting Tier II capital, in effect, re-balancing the mix in the capital supply between equity and debt. This action will not only achieve a sustainable dividend pay-out capability, but will increase Return on Equity and improve the Bank's capacity to lend. It is for this reason that the Board of Directors has approved a Tier 2 capital injection in the form of a USD 50mn (Shs 4.5bn) subordinated loan from Barclays Africa Group proposed for a March 2015 drawdown. The facility will be unsecured 10-year foreign currency loan capital, but which can be recalled after five years. The interest on the subordinated debt is at 270 basis points above LIBOR.

Dividends

The Board has approved a final dividend of Shs 1.00 per share in relation to the 2014 financial performance. This represents a 43% dividend growth year on year and a 65% dividend pay-out ratio compared to the dividend pay-out ratio of 50% in respect of 2013. This dividend reflects our capital optimisation strategy which is aimed at improving our overall Return on Equity.

Looking forward

We will continue to diversify our sources of revenue with the aim of reducing the dependency on interest income. We expect more traction on revenues through the newly established centres of excellence that will service Asset Based Finance and Mortgages, transactional fees from increased usage of credit and debit cards as well as revenues from investment banking, bancassurance and stockbroking. Business banking will be a big focus in the year ahead and we have put everything in place to ensure that we effectively capture and service the SME segment in Kenya.

Cost efficiency efforts will be sustained through continued investment in technology and smarter systems that will not only ensure a reduction in operational costs, but will make life easier for our employees and improve customer satisfaction across all touch points. We will focus more specifically on web and mobile platforms to offer fast, reliable and convenient service to customers wherever they may be.



Yusuf Omari
Chief Financial Officer

Our Performance

Risk management

Introduction

At Barclays Kenya we face risks throughout the business, every day, in everything we do. Some risks we choose to take after appropriate consideration such as lending money to a customer. Other risks may arise from unintended consequences of internal actions, for example an IT system failure or poor sales practices, while other risks are the result of events outside the business's control, but which impact our business such as major exposure through trading or lending to a market counterpart which later fails. As part of their responsibilities, all employees play a part in risk management, regardless of position, function or location. They are required to be familiar with risk management policies that are relevant to their activities and need to know how to control or escalate actual or potential risk issues. To achieve this, employees receive a role-appropriate level of risk and control awareness, which is exercised through a bank-wide risk and control self-assessment process.

Risk management and regulation

The Barclays Enterprise Risk Management Framework (ERMF) is the overarching Barclays Group framework that sets out the activities, tools, techniques and organisational arrangements used to ensure that all material risks facing the bank are identified and understood, and that appropriate responses are in place to protect Barclays and prevent detriment to our customers, colleagues or community. This enables us to meet our goals and enhance our ability to respond to new opportunities.

Classification of risk

As part of its responsibility, the Board has formally recognised a series of risks that are continuously present in Barclays that could materially impact the achievement of our objectives. Together, these risks account for the vast majority of the total risk faced by the Bank. They are collectively referred to as Principal Risks and include:

Credit Risk
The suffering of financial loss should any of our customers not fulfil their contractual obligations to the Bank.
Market Risk
The reduction to earnings or capital due to volatility of trading book positions or an inability to hedge the banking book balance sheet.
Funding Risk
Failure to maintain capital ratios and liquidity obligations could lead to an inability to support normal business activity and meet liquidity requirements.
Operational Risk
Losses or costs resulting from human factors, inadequate or failed internal processes and systems or external events.
Conduct Risk
The risk that detriment is caused to our customers, clients, counterparties or Barclays and its employees because of inappropriate judgement in the execution of our business activities.
Credit, Market and Funding Risks
These are collectively known as financial risks and typically arise from our core client and customer focused activities.
Operational, Conduct and Reputation Risks
These arise from people, processes and systems through which the bank operates and their potential adverse impacts on clients, customers and other stakeholders.

Impact of risks

The impact on Barclays can be financial, including incurring either a loss, or in some cases a financial gain, and non-financial such as negative employee or customer experience, as well as reputational or regulatory consequences / censure. Potential risks in future and risk areas includes:

- Changes in both the level and volatility of prices, for example, interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates, which could impact earnings or capital.
- Potential operational risk of service disruption to customers as a result of failed systems or human errors, or increasing threat from cyber-attacks and breaches of security, with adverse effects on reputation, operations and financial condition.
- Uncertain economic environment, including GDP growth, inflation, insecurity, fluctuating property values and unemployment.

Internal audit function and role

We have a strong and well established Internal Audit function that provides independent and timely assurance to the Board and Executive Management of the effectiveness of governance, risk management and control in all activities of the Bank.

Segment reviews

Consumer banking

Operating environment

The last 12 months saw new regulations introduced by the government to increase transparency in loan pricing and reduce the overall cost of providing credit. Introduction of the Kenya Bank Reference Rate, Annual Profit Rate and Total Cost of Credit allows banks to compete on value added services, giving customers improved access to credit as a result of loan affordability.

The payment industry was highly dynamic with the introduction of new payment solutions and providing customers with a wider choice. The directive by Government to digitise the economy provided opportunities in various sectors including transport, provision of services at Huduma centres to name a few. Banks continued to partner with telecommunications companies to make banking more convenient for customers.

The risks we face

- **Customer Deposits:** Increased pressure from customers on pricing deposits and from small and mid-sized banks aggressively growing their customer deposit books has placed increased pressure on our deposits margin and attrition
- **Loans:** Barclays has the largest unsecured lending book in Kenya. Margins on this loan book are decreasing as operating, regulatory and portfolio maintenance costs increase.

Our performance

Retail	2014	2013	Growth
Shs million			
Revenue	17,132	16,833	2%
Impairment	1,264	1,110	14%
Customer loans	72,868	66,707	9%
Customer deposits	112,037	103,113	9%
Impairment Lost Rate (bps)	173	166	4%

Commentary

Retail banking is segmented into three main areas namely: Premier, Prestige and Personal banking. Services offered include banking solutions, transactional, savings and investments, and lending and protection.

Our focus over the past year has been on growing these three key segments by providing value added services and solutions. Personal banking provides the largest revenue contribution to Barclays with approximately 65% to income and 60% of deposits. With the fast growing middle class, Premier and Prestige Banking offer good opportunities for growth.

To increase customer engagement, Retail banking has continued to place emphasis on customer lifecycle management, which is aimed at providing relevant solutions to customers as they journey through different life stages.

Barclays provides customers with a wide choice of distribution channels to access banking services. These include 119 branches, 239 ATM's, mobile and internet banking and soon to be introduced agency banking.

2014 saw us diversify the Bank's deposit book, facilitated by the launch of the Zidisha Bonus savings product, which resulted in growth of Shs 3.6bn in the liability book. This product resulted in Barclays Bank garnering various accolades including:

1. Best Deposit Product in 2014 from The Asian Banker
2. Shortlisted for the Barclays Group Citizenship Awards
3. Special Award Winner at the 2014 Barclays Africa Premier League Awards

In addition, we launched salary retrenchment cover as a value add for customers who bank their salaries with Barclays. A maximum of three months' salary up to a maximum of Shs 1.5m is paid to customers if they are retrenched, providing them with funds as they seek to stabilise financially in the next chapter of their lives.

Our Performance

Segment reviews (continued)

On the credit card side, we are the largest card issuer and acquirer in Kenya and we intend to leverage this advantage.

A key focus for 2015 will be revenue diversification through new segments such as bancassurance, mortgages, Islamic banking and the youth segment. Notably, we received approval from the Insurance Regulatory Authority and Central Bank of Kenya to roll out bancassurance products. Through shared distribution we are able to better leverage on our distribution across all channels and ensure that our extensive network is well utilised in growing revenues.

Corporate and Business banking

Operating environment

Several external drivers are critical to the success of Corporate and Business banking including stable macros, increased consumer spending power, growth in the industry sector, trading outside of Kenya's borders, public sector investments in infrastructure and energy, and political stability.

With small-to-medium enterprises (SMEs) contributing an estimated 60% to Kenya's GDP and about 80% of employment opportunities in the country, the sector undoubtedly represents one of the greatest opportunities for growth. Until recently, there were no strong propositions in the financial services sector to address the unique needs of and challenges faced by SMEs.

Operations in the SME sector require strong financial partners to support them throughout their business journeys. Barclays introduced a separate Business Banking unit in 2014 aimed at addressing the specialised needs of SMEs, which include simple debt products, vanilla trade and treasury products, quick turnaround time in facility requests, merchant services, employee banking, Sharia-complaint trade and asset products and, importantly, a supportive relationship team and superior customer service.

The risks we face

- Technology plays a critical role in ensuring SMEs can conduct financial transactions 24/7 anywhere on the globe. System stability and availability will be one of our main focus areas for 2015 and we are in the process of implementing a technology platform that will help us service the needs of the SME customer. The tool helps us check the credit worthiness of SME customers by leveraging on a behavioural scorecard. We expect this system to make us highly competitive in the SME market.
- As competition intensifies, retaining talent will become a critical success factor for Business Banking. Relationship managers with experience and the right skills to understand SMEs and be able to translate this understanding into a workable solutions will become a competitive edge for any bank playing in this segment.
- Speed is always critical for small businesses and we need to ensure we respond and service customers' needs and requests speedily to ensure they are fully supported to grow their businesses.

Our performance

Corporate (including Sales and Trading)	2014	2013	Growth
Shs million			
Revenue	11,156	11,089	1%
Impairment	141	113	25%
Customer loans	52,555	51,655	2%
Customer deposits	52,742	48,012	10%
Impairment Lost Rate (bps)	27	22	23%

Segment reviews (continued)

Commentary

Corporate banking

Barclays is a market leader in Corporate banking, making this segment a critical part of the Bank's business. Our strength lies in being a global bank that acts locally, with trust and reputation at the core of all our dealings. We offer a one-stop shop for investment banking solutions and have positioned ourselves as a reliable and strong partner with a large reach. We want to be known as the debt bank – able to finance big deals and cost effective in our provision of debt products and capabilities.

The Barclays Africa Group Limited 'One Africa' strategy approaches Corporate and Investment (CIB) business as one entity. It is important, however, to note that CIB Kenya operates autonomously and pursues local business.

Notable developments in 2014 include:

- The introduction of an Investment Department to handle equity and capital fundraising for corporate investors and government.
- The introduction of the China Desk to handle growing Chinese influence.
- Acting as lead advisor in the Eurobond deal.
- Being awarded a brokerage license by the Capital Markets Authority at the end of 2014.
- Sponsoring of the Lord Mayor's CMA Investor Round Forum, which presented a platform for launching the Capital Markets Code of Ethics and promoting Nairobi as a Regional Financial Hub.

In 2015, our focus will be on regaining our position amongst the top three banks in Kenya, getting large local corporates back into the Barclays fold, building our customers' trust, ensuring our products and systems are cutting edge, attracting and retaining industry talent, and entrenching relationship banking, which will see us providing solutions rather than selling products.

Business banking

The introduction of a separate Business Banking unit was a significant development for Barclays and demonstrated our commitment to servicing the fast growing SME market. The unit, which offers a wide array of products such as loans, overdrafts, working capital finance, cash management products, trade finance solutions, business debit cards and Asset Based Finance (ABF), comprises a team of relationship managers, enterprise bankers, customer service assistants and product support staff.

We also launched an asset finance Centre of Excellence in 2014, which is aimed at providing finance for the purchase of heavy commercial vehicles and plant equipment with credit decisions given within 48 hours.

Our global reach offers a massive advantage to SMEs which conduct business across the globe. We offer exposure to foreign markets and sources of inputs, international tax and trade laws as well as best in class business practices. In addition, Barclays is a strong and reliable brand and offers stability and close to 100 years' experience in the Kenyan financial services industry.

Looking ahead, our key focus is on deepening relationships and share of wallet with clients within this segment as well as extending the customer value chain for distributors and dealers and facilitating the migration of clients to digital channels. We will drive operational excellence to improve turnaround time on product solutions and services to the segment.

Our focus will be on driving process improvements to create greater potential for business growth and promote the use of alternative channels such as the Asset Based Finance (ABF) Centre of Excellence, Mortgage Centre and simpler credit process and non-financial lending model.



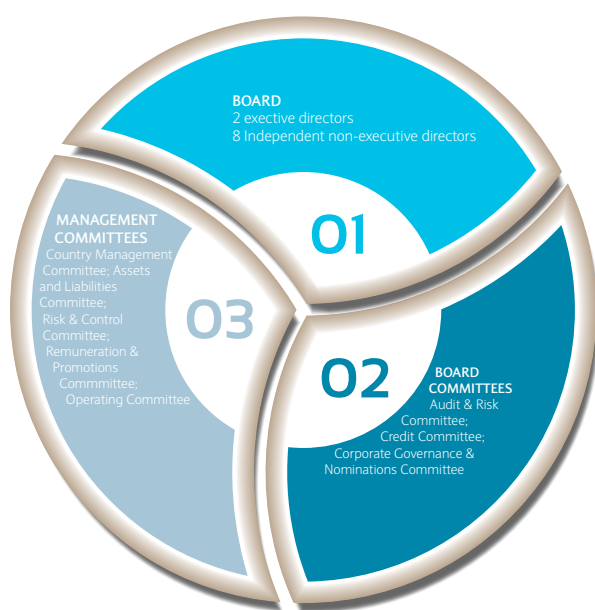
Barclays Kenya Open award ceremony



Governance

We are committed to good corporate governance and view it as the foundation for building and sustaining shareholder value. We are cognisant of our responsibility to manage our business in an ethical, legal and transparent manner and ensure our business dealings are conducted for the benefit of all our stakeholders. We aim to improve our governance procedures on an ongoing basis and align them with global best practice.

Governance structure



Corporate Governance Statement

In 2014 we continued to focus on our medium term strategy of being amongst the top three banks in Kenya in terms of revenue. In line with this strategy, greater emphasis was placed on growing the business, including launching new products, channels and propositions such as investment banking and bancassurance, as well as a greater drive to grow the business banking proposition.

This greater focus on increasing the top line did not result in the loosening of management's grip on internal controls, processes and procedures. The year was marked by a significant reduction in potential losses as a result of control failures. In addition, much effort was expended on enhancing awareness of various risks and the Bank implemented systems to curb fraud such as the EMV Chip and PIN technology.

The market continued to be highly competitive. The regulator, in conjunction with industry players, introduced a new pricing mechanism, namely the Kenya Banks' Reference Rate (KBRR), and increased disclosure requirements through the Total Cost of Credit guidelines. It is hoped these new measures will increase transparency and bring down the cost of credit in time. Management continued to engage the regulator with a view to enhancing compliance with the regulations and guidelines currently in force.

Corporate Governance Statement (continued)

Statement of Compliance

The Board and Management of the Bank continue to comply with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya as its primary regulatory authority. By virtue of being a listed entity, the Bank is also guided by the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and complies with the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange. In addition, the Board has its own stringent standards of governance as set out in its Board Charter in line with Barclays Group standards.

Board Composition

During the year, the Board composition changed with the appointment of three additional non-executive directors, Winnie Ouko, Laila Macharia and Norah Odwesso. In addition to bringing in a new mix of skills, knowledge and experience, the appointments cemented the Bank's position as a leader in the diversity and inclusion agenda, making Barclays Bank of Kenya Board one of the most gender-balanced boards of companies listed on the Nairobi Securities Exchange.

The Board now comprises ten Directors, eight of whom are independent Non-Executive Directors. The broad mix of skills and industry experience of Board members is as follows:

Name	Industry Experience
Francis Okomo-Okello*	Legal, Financial Services, Tourism and Media
Rose Ogega*	Audit and Financial Consulting
Brown Ondego*	Public Sector and Logistics
Jane Karuku*	Retail, Marketing, Operations and Agriculture
Ashok Shah*	Financial Services, Capital Markets and Auto
Jeremy Awori**	Financial Services
Yusuf Omari**	Financial Services
Laila Macharia*	Legal, Public Sector and Investment Management
Winnie Ouko*	Accountant, Financial Consulting and Strategy Advisory
Norah Odwesso*	Corporate Relations and Strategy Management

*Independent Non-Executive Directors

**Executive Directors

Corporate Governance Statement (continued)

Board Independence and Conflicts of Interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of independent to executive directors for licensed banks as three-fifths and also prescribe the regulatory criteria for independence. The Bank is in compliance with these requirements.

The independence criteria for directors set out by the Board in its Charter is that he or she:

- (a) Provide objective challenges to Management
- (b) Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation
- (c) Questions intelligently, debates constructively, challenges rigorously and decides dispassionately
- (d) Is willing to stand up to defend own beliefs and viewpoints in order to support the ultimate good of the organisation
- (e) Has a good understanding of the Bank's businesses and affairs to properly evaluate information and responses provided by Management

The Board, Management and all employees are required to comply with the Bank's Conflict of Interest Policy and Code of Conduct known as 'The Barclays Way'. 'The Barclays Way' builds on our values of Respect, Integrity, Service, Excellence and Stewardship and provides guidance on how the values should be put into practice in our daily work.

The Non-Executive directors are required to disclose their areas of conflict of interest, real or perceived, at least once a year when the Register of Directors' Interests is tabled before the Board. Independence is also considered during the Board's annual performance review. Directors are required to refrain from contributing to or voting on matters on which they have such conflict. Directors are, on an ongoing basis, required to notify the Company Secretary in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions.

It should be noted that the decision to undertake external activities is a matter for individual Directors to decide, bearing in mind their responsibilities to the Bank as well as the time commitment we expect of them. We believe that Directors' external appointments benefit Barclays by providing them with a wider range of skills, experience and knowledge that will be relevant to their role on the Board. External appointments for Executive Directors are only allowable in respect of non-profit organisations such as academic or charitable institutions.

Board Leadership

The Board is responsible for providing strategic leadership for the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing, the Board is required to consider the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships. Further information relating to the Bank's risk management philosophy and framework can be found in the financial statements under Note number 4.

In carrying out its responsibilities, the Board is empowered to obtain independent professional advice and, where necessary, invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The Directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders and other stakeholders.

Corporate Governance Statement (continued)

Specific powers reserved to the Board include the following:

Strategy

- Approval of the Bank's strategy
- Monitoring the Bank's performance against clearly defined measures agreed between the Board and Management
- Approval of major acquisitions or disposals
- Approval of major capital projects

Lending, Capital and Liquidity Management

- Approval of changes in structure
- Approval of lending policies and risk appetite
- Monitoring capital and liquidity measures to ensure regulatory compliance

Financial Results and Dividends

- Approval of interim and final financial statements
- Approval of dividends and other corporate actions
- Approving information disseminated to shareholders

Board Administration and Governance

- Approving board appointments
- Developing and reviewing succession planning for the Board
- Approving Board remuneration
- Delegating authority to Board Committees and Management
- Setting terms of reference for Board Committees and determining Board Committee membership
- Conducting Board and Board Committee evaluations
- Determination of independence of non-executive directors
- Approving the remuneration of auditors and recommending their appointment or removal

Each director, including the Chairman, is provided with a role profile and a charter of expectations on appointment and these clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average, the time commitment for Non-Executive Directors is set at a minimum of 25 to 35 days per year. The Chairman's commitment is at least 65 days a year. High performance indicators are prescribed in the role profiles to guide the Directors and their individual performance is evaluated against these indicators each year.

The role of the Chairman is to provide overall leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities. One of the key responsibilities of the Chairman is to ensure a clear division of responsibility between the Executive and Non-Executive Directors of the Board. The Executive Directors are Jeremy Awori, Managing Director, and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee, are responsible for the day to day management of the Bank. The Board is fortunate to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance.

Corporate Governance Statement (continued)

Further details on the respective responsibilities of Executive and Non-Executive Directors are provided below:

Executive Directors	Non-executive Directors
- Effectively lead Barclays towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board. - Ensure the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties. - Report regularly to the Board on the performance of the Bank. - Use their technical knowledge and experience in the Bank and banking industry to assist the Board in consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests. - Put the interests of the Bank before those of their specific area of responsibility and manage any conflicts of interest that may arise.	- Provide constructive challenge to the executive Directors and senior management of the Bank. - Help develop proposals on strategy and then fully empower and support the Executive Directors to implement the strategy. - Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies. - Apply their judgement to the business of the Board, leveraging on their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries. - Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

Company Secretary

The Company Secretary plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting the Chairman in the formulation and delivery of a comprehensive induction programme for new directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors. At the end of the year 2014, Judy Nyaga, our long-serving Company Secretary, left the employment of the Bank to take up a new engagement with another institution. We thank Judy for the exemplary services she rendered and wish her the best in her future endeavours. The process of recruiting a new Company Secretary is in progress. In the meantime, Waweru Mathenge, who is the Head of Legal & Secretarial Services, will be the interim Company Secretary.

Continuous Professional Development

In pursuit of continuous professional development during 2014, the Directors received training in the following areas:

- Professionally linked continuous professional development programmes.
- The new Enterprise Risk Management Framework.
- New Internal Audit Methodologies, the Bank's principal risk framework; control issues and best practices for audit committees.
- Barclays Africa Integrated Reporting and Health and Safety Issues.
- Developments in the global corporate governance environment including the introduction of conduct risk as an additional measure for the governance of non-financial risk matters.

In addition, some of the Non-Executive directors underwent "The Effective Director" (TED) and the "Leading the Board" (LTB) training programmes, facilitated by Strathmore Business School, which enabled them to build their ability to add value to the deliberations of the Board.

Corporate Governance Statement (continued)

Board Attendance

During the year, the Board convened four ordinary meetings and four special meetings. All the meetings convened had sufficient quorum. In line with its corporate governance standards and practices, the Board held two board meetings outside Nairobi and had the opportunity to interact with employees and customers living and operating in the Coast and Mount Kenya regions. The Board endeavours to visit a different region of the country at least once a year to gain a better understanding of the perspectives and needs of its customers living and operating in the particular region.

The attendance of individual Directors at Board meetings during 2014:

Director	Ordinary (Scheduled) Meetings				Special (Adhoc) Meetings			
	31.1.14	30.4.14	11.8.14	23.10.14	6.2.14	19.3.14	3.6.14	16.7.14
Francis Okomo-Okello	✓	✓	✓	✓	✓	✓	✓	✓
Jeremy Awori		✓	✓	✓	✓	✓	✓	✓
Yusuf Omari	✓	✓	✓	✓	✓	×	✓	✓
Rose Ogega		✓	✓	✓	✓	✓	×	✓
Brown Ondego	✓	✓	✓	✓	✓	✓	✓	×
Jane Karuku	✓	✓	✓	✓	×	✓	✓	✓
Ashok Shah	✓	✓	✓	✓	✓	✓	×	✓
Laila Macharia	N/A	N/A	×	✓	N/A	N/A	N/A	N/A
Winnie Ouko	N/A	N/A	✓	✓	N/A	N/A	N/A	N/A
Norah Odwesso	N/A	N/A	✓	✓	N/A	N/A	N/A	N/A

N/A: Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year, meaning they were not eligible to attend the meetings.

Where a Director cannot attend a Board meeting, an acceptable apology with a valid reason is sent to the Chairman in advance of the meeting.

During the meetings, we regularly received reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the key functions namely Corporate Banking, Treasury, Consumer Banking, Operations and Human Resources.

Corporate Governance Statement (continued)

Board Activities in 2014

During the year, the key activities of the Board included:

- Reviewing the Bank's strategic plans for the year in light of the macro-economic environment and in particular reviewing key strategies aimed at growing top line income.
- Approving the Board's work plan that sets out the Board's objectives for the year against which performance is measured.
- Receiving updates from each of the key management functions on their progress against the agreed strategy.
- Reviewing regular reports on the economic and regulatory environment prevailing in the country and impacting the banking industry.
- Reviewing the Bank's business continuity preparedness.
- Reviewing and approving new business propositions including an enhanced and focused business banking proposition, investment banking, insurance agency and securities exchange trading participant.

Board Evaluation

The Board has established the practice of carrying annual effectiveness reviews at Board and Board Committee levels as well as performance reviews of the individual Directors. In 2014, the Board decided to engage an external third party to perform the effectiveness review. The Board engaged the respected Institute of Directors (IOD) for this purpose. The Board is already in the process of taking necessary actions and formulating the requisite plans to address the key issues arising from this Board evaluation.

Board Committees

The Board has three Board Committees (Audit & Risk, Credit and Corporate Governance & Nominations) with delegated authority to assist the Board effectively carry out its obligations. The Audit & Risk Committee and the Credit Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority listing obligations. The Corporate Governance and Nominations Committee was set up in 2013 with delegated Board authority for oversight of, among other matters, the Board composition and Board succession planning. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the Committees' deliberations and to escalate to the Board all matters requiring its consideration and approval. The Committee chairpersons will provide more details on their deliberations and key achievements in 2014.

Audit and Risk Committee Review

The role of the Audit & Risk Committee

The Audit & Risk Committee has the Board's delegated authority to review the contents of interim and final financial reports to ensure the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them. The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. The Committee determines the scope and adequacy of audit assignments carried out by the external and internal auditors. The Committee monitors the level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks. The Committee pays particular attention to the risks identified in the Bank, challenges management on the appropriateness of mitigating actions and monitors their implementation. The Committee also reviews reports from Management on changes in the regulatory environment and expected impact of the changes on the Bank's operations. The Committee has direct access to the External Auditors, Barclays Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors.

Audit and Risk Committee Review (continued)

Committee Members

The Committee comprises five independent Non-Executive Directors namely Rose Ogega, as Chairperson, Jane Karuku, Ashok Shah, Winnie Ouko and Norah Odwesso. The Managing Director, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer, Chief Risk Officer, Head of Compliance and Audit Partner from our External Auditors are regular invitees to Audit & Risk Committee meetings.

Chairperson's responsibilities

The Chairperson's responsibility is to ensure the Committee is able to provide appropriate assurance to the Board on issues within its terms of reference. In line with this, at every Board meeting, the Chairperson provides a report to the Board on the work of the Committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee. It is also the Chairperson's obligation to ensure that members of the Committee are kept up to date with international financial and accounting best practice developments. This is achieved with the assistance of the external auditors.

The Chairperson meets regularly with the Audit Partner of the External Auditors to discuss their audit work and any issues of concern arising in between meetings of the Committee. The Chairperson also meets regularly with the Chief Internal Auditor to receive briefings on internal audit work and provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach. Outside formal Committee meetings, the Chairperson convenes private sessions between the Committee members in the absence of Management and private sessions between Committee Members and the External Auditors and the Internal Auditors. The private sessions give the members and auditors the opportunity to raise any issues of concern warranting discussion in the absence of the Members of Executive Management and to follow up on any actions requiring the Committee's intervention.

Meetings

The committee held four ordinary meetings and two special meetings in the year under review. The attendance of the meetings was as follows:

Member	Ordinary (Scheduled) Meetings				Special (Adhoc) Meetings	
	31.3.14	11.6.14	10.9.14	20.11.14	29.1.14	23.7.14
Rose Ogega	√	√	√	√	√	√
Jane Karuku	√	√	√	×	√	√
Ashok Shah	√	×	√	√	√	√
Winnie Ouko	N/A	N/A	√	√	N/A	N/A
Norah Odwesso	N/A	N/A	√	×	N/A	N/A

N/A- Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

In accordance with the Committee's forward agenda for each meeting, the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing incidences from employees and external persons, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the Committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Audit and Risk Committee Review (continued)

Achievements in 2014

- Review of the integrity of the Bank's financial statements before recommending them to the Board for approval.
- Review of the stability of the Bank's core banking system, Flexcube, and in particular keen monitoring of the occurrence and remediation of major outages impacting the service levels offered to customers; implementation of fixes necessary to ensure compliance with regulatory requirements and effective internal and accounting controls; and recoverability of the system in a disaster recovery environment.
- Review of reports on a deep-dive on the extent and impact of fraud in the Bank and approval of measures proposed to curb this risk.
- Review of reports on a deep-dive into terrorism risk and the associated insecurity and approval of the measures proposed to mitigate the impact of this risk.
- Review of reports on the management of various other risks that the business faces on an ongoing basis, including operational risk, capital, liquidity and market risk and conduct/reputational risk and approval of various recommendations by management intended to enhance the management of these risks.
- Review and approval of the new Enterprise Risk Management Framework, which is targeted at enhancing focus on key risk areas and deploying the necessary resources to mitigate the risks in those areas.
- Review of the succession plans for key control positions in the Management team.
- Review and approval of the audit plans for the internal and external auditors and approval of any changes to the plans.
- Review of key changes in the legal and regulatory environment and the Bank's readiness to comply with the requirements of the changes. The committee also reviewed the results of the regulator inspection and approved the appropriate actions to deal with the issues raised in the inspection report.
- Review of the independence of the External Auditor in line with the Bank's policy on provision of non-audit services by the External Auditor. The policy governs the type of services which the External Auditor may provide to ensure their objectivity and independence is always maintained. The committee also deliberated on whether the External Auditor should be considered for re-appointment and made the appropriate recommendations in this regard together with recommendations on the External Auditor's remuneration to the Board.
- Evaluation of the Committee's performance against the Terms of Reference.
- Assessment of the performance of the internal and external auditors to ensure that they are effective in carrying out their responsibilities.

Credit Committee Review

The role of the Credit Committee

The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee members

The Committee's membership comprises six Non-Executive Directors namely Brown Ondego as Chairman, Francis Okomo-Okello, Jane Karuku, Ashok Shah, Laila Macharia and Winnie Ouko. From Management, the Committee's membership is made up of the Managing Director, Head of Corporate Banking, Head of Consumer Banking, Head of Business Banking, the Chief Risk Officer, Heads of Corporate Credit Risk and Consumer Credit Risk or their respective authorised representatives.

During the year the Credit Committee convened four ordinary meetings. Attendance was as follows:

Member	Ordinary (Scheduled) Meetings			
	31.1.14	30.4.14	7.8.14	24.10.14
Brown Ondego	×	×	×	✓
Jane Karuku	×	✓	×	✓
Francis Okomo-Okello	✓	✓	✓	✓
Ashok Shah	✓	✓	✓	×
Laila Macharia	N/A	N/A	N/A	✓
Winnie Ouko	N/A	N/A	N/A	✓
Managing Director	✓	✓	✓	✓
Head of Corporate Banking	✓	✓	✓	✓
Head of Consumer Banking	✓	✓	✓	✓
Chief Risk Officer	✓	✓	✓	✓
Head of Corporate Credit	✓	✓	✓	×
Head of Consumer Credit	✓	✓	✓	×
Head of Business Support	✓	✓	✓	✓

N/A- Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

Credit Committee Review (continued)

Achievements in 2014

- Review of the Bank's retail lending policy and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of and mitigating relevant risks.
- Monitoring of the status of the top 20 exposures on the Bank's balance sheet.
- Assessment of the Bank's risk appetite for significant new business deals.
- Regular reviews of the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
- Provision of advice and support to Management in unlocking high value debts and reaching workable solutions with customers, who found themselves in difficult financial circumstances.

Corporate Governance and Nominations Committee Review

The Role of the Corporate Governance and Nominations Committee

The Committee is responsible for considering matters relating to the composition of the Board. This includes the appointment of new Directors and making appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board. In addition, the Committee is responsible for corporate governance issues such as overseeing the annual Board effectiveness reviews, reviewing the Board's remuneration, the Board Charter, Conflicts of Interest Register and ensuring appropriate ongoing training for the Board.

Committee members

The Committee is made up of five Non-Executive Directors namely Francis Okomo-Okello as Chairperson, Ashok Shah, Brown Ondego, Laila Macharia, Norah Odwesso and the Managing Director. During the year, the Committee convened and held three ordinary meetings. Attendance of the meetings was as follows:

Member	Ordinary (Scheduled) Meetings		
	27.1.14	24.6.14	7.8.14
Francis Okomo-Okello	✓	×	✓
Brown Ondego	✓	✓	✓
Ashok Shah	✓	✓	✓
Jeremy Awori	✓	✓	×
Laila Macharia	N/A	N/A	N/A
Norah Odwesso	N/A	N/A	N/A

N/A - Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings. The Chairperson's absence from the Committee meeting convened on 24th June, 2014 was deliberate and excusable.

Corporate Governance and Nominations Committee Review (continued)

Achievements in 2014

- We successfully concluded the search for additional Non-Executive Directors. These are Laila Macharia, Norah Odwesso and Winnie Ouko. With their appointments, the Board now has an appropriate mix of skills, knowledge and experience to guide the bank in its continued growth.
- We concluded the review of the remuneration paid to Non-Executive Directors which had remained unchanged since 2010. The new remuneration rates became effective from 1st January, 2013, are now in line with the market and reflect the additional responsibilities which the Non-Executive Directors carry in terms of additional time commitment among others.
- As already noted, we successfully completed an external board evaluation exercise which was executed by the Institute of Directors (IOD). The recommendations arising out of this exercise are being implemented to further improve the Board's performance and effectiveness.

Management Committees

The Board and its Committees are supported by five key Management Committees (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee and Operating Committee). Final authority and responsibility for the direction of the Bank however rests with the Board. The role and responsibilities of the various Management Committees are set out below:

Country Management Committee (CMC)

The CMC meets at least twice every month and is responsible for the implementation of strategy and driving the financial performance of the Bank. It also reviews the work of other Management Committees. The CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with identifying and coaching senior talent within the Bank for succession planning. The CMC is chaired by the Managing Director and its membership comprise his direct reports with functional head responsibility.

Assets & Liabilities Committee (ALCO)

The ALCO is tasked with managing financial risk, specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a quarter and periodically reports to the Board Audit & Risk Committee, highlighting key risk and control issues and Management actions to address them. RCC is chaired by the Managing Director and its membership includes all function heads designated as key risk owners. The Head of Internal Audit and External Auditors are invitees to RCC.

Management Committees (continued)

Remuneration and Promotions Committee (RPC)

The primary objective of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every month and its membership comprises the Managing Director as Chair, the Chief Financial Officer and Head of Human Resources. The Chief Risk Officer and Head of Compliance are invitees to this committee.

Operating Committee (OPCO)

The OPCO is charged with reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee is required to meet monthly and its membership comprises all function heads with direct reporting lines to the Chief Operating Officer, who chairs the Committee.

Directors' Emoluments, Shareholding and Conflicts of Interest

The aggregate amount of emoluments and fees paid to directors during the year are disclosed in Note number 36 of the financial statements. The basic rates of fees paid to Non-Executive Directors were reviewed in 2014. The basic rates had remained unchanged since 2010. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors personal shareholding in the company is shown below.

Name	Number of shares held
Francis Okomo- Okello	28,400
Brown Ondego	34,180
Jane Karuku	25,300
Ashok Shah	544,380
Rose Ogega	26,700
Jeremy Awori	57,300
Yusuf Omari	100,000
Winnie Ouko	Nil
Norah Odwesso	Nil
Laila Macharia	Nil

Relationship with Stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts on the Bank's half-year and full year financial results. The Company's financial results are published in the local media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

We now prefer to communicate with our shareholders electronically and accordingly we published our Annual Report on the Bank's website www.barclays.co.ke. Most Directors were able to attend the last AGM which was held on 23 May 2014 and were available to answer questions from shareholders. This year's AGM will be held on Wednesday, 29 April, 2015 at Kenyatta International Conference Centre, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.

Directors' report

For the year ended 31 December 2014

The directors submit their report together with the audited financial statements for the year ended 31 December 2014 which disclose the state of affairs of Barclays Bank of Kenya Limited (the "Company"/"Bank") and its subsidiaries (together the "Group").

INCORPORATION AND REGISTERED OFFICE

The Company is incorporated in Kenya under the Companies Act (Cap 486) and is domiciled in Kenya.
The address of its registered office is:

The West End Building
Waiyaki Way
PO Box 30120 - 00100
NAIROBI

PRINCIPAL ACTIVITIES

The Company is registered as a bank under the Banking Act. The Group is engaged in the business of banking and the provision of related services.

RESULTS AND DIVIDEND

The profit for the year of Shs 8,387 million (2013: Shs 7,623 million) has been added to retained earnings. No interim dividend was paid during the year. The directors recommend the approval of a dividend for the year ended 31 December 2014 of Shs 1.00 (2013: Shs 0.70) for every ordinary share amounting to Shs 5,432 million (2013: Shs 3,802 million).

DIRECTORS

The directors who served during the year and to the date of this report are:

F Okomo-Okello	Chairman
J Awori*	Managing Director
YK Omari*	Finance Director
RN Ogega	
BM Ondego	
JW Karuku	
AKM Shah	
WA Ouko	Appointed on 11 August 2014
LN Macharia	Appointed on 11 August 2014
NC Odwesso	Appointed on 11 August 2014

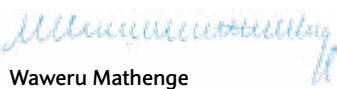
* Executive directors

AUDITOR

The Company's auditor, PricewaterhouseCoopers, has indicated their willingness to continue in office in accordance with Section 159(2) of the Companies Act and Section 24 (1) of the Banking Act.

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 6 March 2015.
By order of the Board



Waweru Mathenge
Company Secretary

Statement of directors' responsibilities For the year ended 31 December 2014

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting and applying appropriate accounting policies; and
- (iii) Making accounting estimates and judgements that are reasonable in the circumstances.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial position of the Group and of the Bank at 31 December 2014 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the Board of Directors on 6 March 2015 and signed on its behalf by:



Chairman: Francis Okomo-Okello



Director: Yusuf Omari



FiRe

FINANCIAL REPORTING AWARD

Awards 2014

Barclays Bank of Kenya Limited

WINNERS

Bank Category



Report of the Independent Auditor to the Shareholders of Barclays Bank of Kenya Limited

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of Barclays Bank of Kenya Limited (the "Bank") and its subsidiaries (together, the "Group"), set out on pages 61 to 126. These financial statements comprise the consolidated statement of financial position at 31 December 2014 and the consolidated statement of profit or loss, and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Bank standing alone at 31 December 2014 and the statement of changes in equity of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary, to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2014 and of the financial performance and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
- iii) the Bank's statement of financial position is in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Michael Mugasa – P/No 1478.

Certified Public Accountants
Nairobi

6 March 2015

Financial Statements

Consolidated statement of profit or loss

For the year ended 31 December	Notes	2014 Shs million	2013 Shs million
Interest income	5	22,941	21,297
Interest expense	5	(3,337)	(2,437)
Net interest income		19,604	18,860
Fees and commission income	6	7,189	7,237
Fees and commission expense	6	(825)	(717)
Net fees and commission income		6,364	6,520
Net foreign exchange income		2,042	2,084
Net income from financial instruments carried at fair value through profit or loss	7	266	449
Other operating income		12	9
Total income		28,288	27,922
Provision for impairment of loans and advances to customers	18	(1,405)	(1,223)
Net operating income		26,883	26,699
Employee benefits	8	(8,100)	(8,114)
Other operating expenses	9	(5,420)	(5,515)
Depreciation and amortisation expense	10	(1,070)	(1,148)
Operating expenses		(14,590)	(14,777)
Restructuring expenses		12,293	11,922
		-	(788)
Profit before income tax		12,293	11,134
Income tax expense	11	(3,906)	(3,511)
Profit for the year		8,387	7,623
Earnings per share (Shs)		1.54	1.40
Basic and diluted	12		
Dividends (Shs million)			
Interim paid	13	-	1,086
Proposed final	13	5,432	2,716
		5,432	3,802

Financial Statements

Consolidated statement of other comprehensive income

For the year ended 31 December	Notes	2014 Shs million	2013 Shs million
Profit for the year		8,387	7,623
Other comprehensive income, net of income tax			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurement of post-employment benefit obligations	29	49	246
<i>Items that may be subsequently reclassified to profit or loss</i>			
Fair value movement on available-for-sale assets:			
- unrealised net gains/(losses)	16	133	(279)
- deferred income tax	28	(40)	84
		93	(195)
Other comprehensive income, net of income tax		142	51
Total comprehensive income for the year		8,529	7,674

Financial Statements

Consolidated statement of financial position

At 31 December	Notes	2014 Shs million	2013 Shs million
ASSETS			
Cash and balances with Central Bank of Kenya	14	24,568	16,908
Financial assets at fair value through profit or loss	15	6,133	1,987
Financial assets available-for-sale	16	51,033	47,559
Deposits and balances due from banking institutions	17	1,207	1,386
Due from group companies	36	4,755	9,129
Loans and advances to customers	18	125,423	118,362
Other assets and prepaid expenses	19	6,589	4,678
Property and equipment	20	2,847	2,786
Intangible assets	21	2,490	2,858
Prepaid operating lease rentals	22	57	58
Current income tax		399	1,028
Deferred income tax	28	254	-
Post-employment benefit assets	29	89	-
Total assets		225,844	206,739
LIABILITIES			
Deposits and balances due to banking institutions	24	121	4,738
Due to group companies	36	13,291	8,760
Customer deposits	25	164,779	151,125
Other liabilities and accrued expenses	26	7,351	6,356
Borrowings	27	2,117	3,109
Deferred income tax	28	-	154
Post-employment benefits obligations	29	-	125
Total liabilities		187,659	174,367
EQUITY			
Share capital	30	2,716	2,716
Regulatory reserve	31	432	973
Other reserves	32	(308)	(401)
Retained earnings		29,913	26,368
Proposed dividend	13	5,432	2,716
Total equity		38,185	32,372
Total liabilities and equity		225,844	206,739

The financial statements on pages 68 to 126 were approved for issue by the Board of Directors on 6 March 2015 and signed on its behalf by:



Chairman: Francis Okomo-Okello



Managing Director: Jeremy Awori



Director: Yusuf Omari



Company Secretary: Waweru Mathenge

Financial Statements

Bank statement of financial position

At 31 December	Notes	2014 Shs million	2013 Shs million
ASSETS			
Cash and balances with Central Bank of Kenya	14	24,568	16,908
Financial assets at fair value through profit or loss	15	6,133	1,987
Financial assets available-for-sale	16	51,033	47,559
Deposits and balances due from banking institutions	17	1,207	1,386
Due from group companies	36	4,755	9,129
Loans and advances to customers	18	125,423	118,362
Other assets and prepaid expenses	19	6,589	4,678
Property and equipment	20	2,847	2,786
Intangible assets	21	2,490	2,858
Prepaid operating lease rentals	22	57	58
Current income tax		396	1,025
Deferred income tax	28	254	-
Investments in subsidiary companies	23	275	275
Post employment benefits asset	29	89	-
Total assets		226,116	207,011
LIABILITIES			
Deposits and balances due to banking institutions	24	121	4,738
Due to group companies	36	13,291	8,760
Customer deposits	25	164,779	151,125
Other liabilities and accrued expenses	26	7,623	6,628
Borrowings	27	2,117	3,109
Deferred income tax	28	-	154
Post employment benefits obligation	29	-	125
Total liabilities		187,931	174,639
EQUITY			
Share capital	30	2,716	2,716
Regulatory reserve	31	432	973
Other reserves	32	(308)	(401)
Retained earnings		29,913	26,368
Proposed dividend	13	5,432	2,716
Total equity		38,185	32,372
Total liabilities and equity		226,116	207,011

The financial statements on pages 68 to 126 were approved for issue by the Board of Directors on 6 March 2015 and signed on its behalf by:



Chairman: Francis Okomo-Okello



Managing Director: Jeremy Awori



Director: Yusuf Omari



Company Secretary: Waweru Mathenge

Financial Statements

Consolidated statement of changes in equity

Year ended 31 December 2013	Notes	Share capital Shs million	Regulatory reserve Shs million	Other reserve Shs million	Retained earnings Shs million	Proposed dividends Shs millions	Total Shs million
At start of year		2,716	1,461	(206)	21,813	3,802	29,586
Total comprehensive income for the year							
Profit for the year		-	-	-	7,623	-	7,623
Other comprehensive income		-	-	(195)	246	-	51
		-	-	(195)	7,869	-	7,674
Transfers	31	-	(488)	-	488	-	-
Transactions with owners:							
Dividends to equity holders							
- final for 2012 paid		-	-	-	-	(3,802)	(3,802)
- interim for 2013 paid		-	-	-	(1,086)	-	(1,086)
- proposed final for 2013		-	-	-	(2,716)	2,716	-
At end of year		2,716	973	(401)	26,368	2,716	32,372

Year ended 31 December 2014							
At start of year		2,716	973	(401)	26,368	2,716	32,372
Total comprehensive income for the year							
Profit for the year		-	-	-	8,387	-	8,387
Other comprehensive income		-	-	93	49	-	142
		-	-	93	8,436	-	8,529
Transfers	31	-	(541)	-	541	-	-
Transactions with owners:							
Dividends to equity holders							
- final for 2013 paid		-	-	-	-	(2,716)	(2,716)
- proposed for 2014		-	-	-	(5,432)	5,432	-
At end of year		2,716	432	(308)	29,913	5,432	38,185

Financial Statements

Bank statement of changes in equity

Year ended 31 December 2013	Notes	Share capital Shs million	Regulatory reserve Shs million	Other reserve Shs million	Retained earnings Shs million	Proposed dividends Shs millions	Total Shs million
At start of the year		2,716	1,461	(206)	21,813	3,802	29,586
Total comprehensive income for the year							
Profit for the year		-	-	-	7,623	-	7,623
Other comprehensive income		-	-	(195)	246	-	51
		-	-	(195)	7,869		7,674
Transfers	31	-	(488)	-	488	-	-
Transactions with owners:							
Dividends to equity holders							
- final for 2012 paid		-	-	-	-	(3,802)	(3,802)
- interim for 2013 paid		-	-	-	(1,086)	-	(1,086)
- proposed final for 2013		-	-	-	(2,716)	2,716	-
At end of year		2,716	973	(401)	26,368	2,716	32,372

Year ended 31 December 2014							
At start of year		2,716	973	(401)	26,368	2,716	32,372
Total comprehensive income for the year							
Profit for the year		-	-	-	8,387	-	8,387
Other comprehensive income		-	-	93	49	-	142
		-	-	93	8,436	-	8,529
Transfers	31	-	(541)	-	541	-	-
Transactions with owners:							
Dividends to equity holders							
- final for 2013 paid		-	-	-	-	(2,716)	(2,716)
- proposed for 2014		-	-	-	(5,432)	5,432	-
At end of year		2,716	432	(308)	29,913	5,432	38,185

Financial Statements

Consolidated statement of cash flows

At 31 December	Notes	2014 Shs million	2013 Shs million
Net cash flows from operating activities	35(a)	9,333	3,814
Cash flows from investing activities			
Purchase of property and equipment	20	(683)	(656)
Purchase of intangibles	21	(80)	(17)
Net cash used in investing activities		(763)	(673)
Cash flows from financing activities			
Dividends paid		(2,716)	(4,888)
Repayment of borrowings		(992)	(1,390)
Net cash used in financing activities		(3,708)	(6,278)
Net increase/(decrease) in cash and cash equivalents		4,862	(3,137)
Cash and cash equivalents at start of year	35(b)	1,679	4,816
Cash and cash equivalents at end of year	35(b)	6,541	1,679

Financial Statements

Notes

1 General information

Barclays Bank of Kenya Limited (the “Bank”) is a public limited company, incorporated and domiciled in Kenya. Its shares are listed on the Nairobi Securities Exchange. The address of its registered office is:

The West End Building
Waiyaki Way
PO Box 30120 code 00100
NAIROBI

The ultimate holding company of the Bank is Barclays Plc. which is a limited liability company incorporated and domiciled in United Kingdom.

The consolidated financial statements of the Bank as at and for the year ended 31 December 2014 comprise the Bank and its subsidiaries (together referred to as the “Group”). The Group primarily is involved in corporate and retail banking.

For the Kenya Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit or loss account by the statement of profit or loss in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2.1 Basis of preparation

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS.

(a) Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Bank uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Bank using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (ie as prices) or indirectly (ie derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Bank at the end of the reporting period during which the change occurred.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

(b) Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 3.

(c) Changes in accounting policy and disclosures

New standards, amendments and interpretations adopted by the Group

The following are the significant amendments to existing standards that have been adopted by the Group for the first time for the financial year beginning on or after 1 January 2014:

IAS 32(Amendment), Financial instruments: Presentation' on offsetting financial assets and financial liabilities. This amendment clarifies that the right of set-off must not be contingent on a future event. It must also be legally enforceable for all counterparties in the normal course of business, as well as in the event of default, insolvency or bankruptcy. The amendment also considers settlement mechanisms. The amendment did not have a significant effect on the Group financial statements.

IAS 39(Amendment), Financial instruments: Recognition and measurement' on the novation of derivatives and the continuation of hedge accounting. This amendment considers legislative changes to 'over-the-counter' derivatives and the establishment of central counterparties. Under IAS 39 novation of derivatives to central counterparties would result in discontinuance of hedge accounting. The amendment provides relief from discontinuing of hedge accounting when novation of a hedging instrument meets specified criteria. There has been no significant impact on the Group financial statements.

Other standards, amendments and interpretations which are effective for the financial year beginning on 1 January 2014 are not material to the Group.

New and revised standards and interpretations not yet adopted

A number of new standards and amendments to standards and interpretations are effective for annual periods beginning after 1 January 2014, and have not been applied in preparing these financial statements. None of these is expected to have a significant effect on the consolidated financial statements of the Group, except the following:

IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued on July 2014. It replaces the guidance in IAS 30 that relates to the classification and measurement of financial instruments.

IFRS 9 retains but simplifies the mixed measurements model and establishes three primary measurement categories for financial assets: amortised cost, fair value through other comprehensive income (FVTOCI) and fair value through profit or loss (FVTPL). The basis of classification depends on the entity's model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to changes in fair value in OCI not recycling.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

(c) Changes in accounting policy and disclosures (continued)

New and revised standards and interpretations not yet adopted (continued)

There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. For financial liabilities there were no changes to the classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes. Contemporaneous documentation is still required but is different to that currently prepared under IAS 39.

The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Group is yet to assess the full impact of IFRS 9 on the consolidated financial statements.

IFRS 15, 'Revenue from contracts with customers', deals with revenue recognition and establishes principles for reporting useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The new standard is effective for annual periods beginning on or after 1 January 2017, and replaces IAS 11 and IAS 18. The Group is currently assessing the impact of IFRS 15 on the consolidated financial statements.

Amendments to IAS 19 titled 'Defined benefit plans: employee contributions': the amendments, applicable retrospectively to annual periods beginning on or after 1 July 2014, clarify the requirements that relate to how contributions from employees or third parties that are linked to service should be attributed to periods of service. In particular, contributions that are independent of the number of years of service can be recognised as a reduction in the service cost in the period in which the related service is rendered (instead of attributing them to the periods of service). The Group is currently assessing the impact of the amendment on the consolidated financial statements.

2.2 Consolidation

The consolidated financial statements comprise the financial statements of Barclays Bank of Kenya Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated. The accounting policies for the subsidiaries are consistent with the policies adopted by the Bank. A listing of the Bank's subsidiaries is set out in Note 23.

2.3 Foreign currency translation

(a) Functional and presentation currency

On initial recognition, all transactions are recorded in the Functional Currency (the currency of the primary economic environment in which the Group operates), which is the Kenya Shilling. The financial statements are presented in Kenya Shillings, which is the Group's presentation currency. The figures shown in the financial statements are stated in Kenya Shillings (Shs), rounded to the nearest million.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.3 Foreign currency translation (continued)

(b) Transactions and balances

Transactions in foreign currencies during the year are translated into the functional currency using the exchange rates prevailing at the dates of the transaction or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss, except when deferred in other comprehensive income as qualifying cash flow hedges and qualifying net investment hedges.

Monetary items denominated in foreign currency are translated at the closing rate as at the reporting date.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

2.4 Sale and repurchase agreements

Securities sold subject to repurchase agreements ('repos') are classified in the financial statements as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral; the counterparty liability is included in amounts due to Central Bank of Kenya, due to other banks, deposits from banks, other deposits or deposits due to customers, as appropriate.

Securities purchased from Central Bank of Kenya under agreements to resell ('reverse repos') are disclosed separately as they are purchased and are not negotiable/discounted during their tenure. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

2.5 Financial assets and liabilities

2.5.1 Financial assets

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans, advances and receivables and available-for-sale financial assets. Management determines the appropriate classification of its financial assets at initial recognition.

(a) Financial assets at fair value through profit or loss

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the Bank as at fair value through profit or loss upon initial recognition.

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.1 Financial assets (continued)

The Group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis or
- the financial assets consists of debt host and an embedded derivatives that must be separated.

Financial assets at fair value through profit or loss are carried at fair value. Purchases and sales of financial assets at fair value through profit or loss are recognized on trade-date, the date on which the Group commits to purchase or sell the asset. Fair value changes relating to financial assets designated at fair value through profit or loss are recognized in the statement of profit or loss in the year in which they arise.

(b) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Bank provides money, goods or services directly to a debtor with no intention of trading the receivable.

Loans and receivables are initially recognised at fair value – which is the cash consideration to originate the loan including any transaction costs – and measured subsequently at amortised cost using the effective interest method.

Loans and receivables are reported in the statement of financial position as loans and advances to customers, deposits with financial institutions, cash with Central Bank of Kenya and balances due from group companies (Notes 18, 17, 14 and 36).

Interest on loans is included in the statement of profit or loss and is reported as 'Interest income'. In the case of impairment, the impairment loss is reported as a deduction from the carrying value of the loan and recognised in the statement of profit or loss as 'impairment losses on loans and advances'.

(c) Available-for-sale financial assets

Available-for-sale financial assets are financial assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Available-for-sale financial assets are initially recognised at the fair value of the consideration given plus any transaction costs, and measured subsequently at fair value with gains and losses being recognised in the statement of comprehensive income, except for impairment losses and foreign exchange gains and losses, until the financial asset is derecognised. If an available for sale financial asset is determined to be impaired, the cumulative gain or loss previously recognised in the statement of comprehensive income is recognised in the statement of profit or loss. However, interest is calculated using the effective interest method, and foreign currency gains and losses on monetary assets classified as available for sale are recognised in the statement of profit or loss. In the year of sale, the cumulative gain or loss recognised in other comprehensive income is reclassified to the profit or loss account.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.2 Financial liabilities

All the Bank's financial liabilities are measured at amortised cost. These include deposits from banks or customers or balances due to Group companies, long term debt instruments and subordinated debts (Notes 24, 25, 36 and 27).

Financial liabilities are initially recognised at their fair value, being their issue proceeds (fair value of consideration received), net of transaction costs incurred and subsequently measured at amortised cost. Financial liabilities are derecognised when extinguished.

2.5.3 Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges and broker quotes.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indicators that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analysis and other valuation techniques commonly used by market participants.

The Bank uses widely recognised valuation models for determining fair values of government securities. For these financial instruments, inputs into models are generally market-observable.

The fair values of the Bank's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual re-pricing or maturity dates. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the reporting date.

The fair value of foreign exchange forwards is generally based on current forward exchange rates.

2.5.4 Derecognition

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities are derecognised when they have been redeemed or otherwise extinguished.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.5 Classes of financial instruments

The Bank classifies the financial instruments into classes that reflect the nature of information and take into account the characteristics of those financial instruments. The classification made can be seen in the table as follows:

Category (as defined by IAS 39)		Class (as determined by the Group)		Subclasses	
Financial assets	Financial assets at fair value through profit or loss.	Financial assets held for trading for trading	Debt securities		
		Financial assets designated at fair value through profit or loss	Equity securities		
	Loans and receivables	Loans and advances to banks			
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts	
				Credit cards	
				Term loans	
				Mortgages	
		Loans to corporate entities	Large corporate customers	SMEs	
				Others	
				Items in the course of collection	
	Available-for-sale financial assets	Investment securities - debt securities		Listed	
	Financial liabilities at amortised cost	Deposits from banks			
		Deposits from customers	Retail customers		
			Large corporate customers		
SMEs					
Items in the course of collection					
Off- balance sheet financial Instruments	Loan commitments				
	Guarantees, acceptances and other financial facilities				

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.6 Impairment of financial assets

(a) Assets carried at amortised cost

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- (a) significant financial difficulty of the issuer or obligor;
- (b) a breach of contract, such as a default or delinquency in interest or principal payments;
- (c) the lender, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
- (d) it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
- (e) the disappearance of an active market for that financial asset because of financial difficulties; or
- (f) observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:
 - (i) adverse changes in the payment status of borrowers in the portfolio; and
 - (ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

The estimated period between a loss occurring and its identification is determined by local management for each identified portfolio. In general, the periods used vary between 1 and 6 months; in exceptional cases, longer periods are warranted.

The Bank first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on loans carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial instrument's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the statement of profit or loss. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Bank may measure impairment on the basis of an instrument's fair value using an observable market price.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable. For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (that is, on the basis of the Bank's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.5 Financial assets and liabilities (continued)

2.5.6 Impairment of financial assets (continued)

(a) Assets carried at amortised cost (continued)

Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not currently exist.

Estimates of changes in future cash flows for groups of assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the Bank and their magnitude). The methodology and assumptions used for estimating future cash flows are reviewed regularly by the Bank to reduce any differences between loss estimates and actual loss experience.

When a loan is uncollectible, it is written off against the related allowance for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Impairment charges relating to loans and advances to customers are included in loan impairment charges. Subsequent recoveries of amounts previously written off decrease the amount of the provision for loan impairment in the statement of profit or loss.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account. The amount of the reversal is recognised in the statement of profit or loss.

(b) Financial assets available-for-sale

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. In the case of equity investments classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is objective evidence of impairment resulting in the recognition of an impairment loss. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the statement of profit or loss. Impairment losses recognised in the statement of profit or loss on equity instruments are not reversed through the statement of profit or loss. If, in a subsequent period, the fair value of a debt instrument classified as available for sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the statement of profit or loss.

2.5.7 Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.6 Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with central bank, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya.

2.7 Property and equipment

All property and equipment is initially recorded at cost. Cost includes all expenditure necessary to bring the asset to working condition for its intended use and includes original purchase price, costs of site preparation, delivery and handling, installation, related professional fees for architects and engineers, and the estimated cost of dismantling and removing the asset and restoring the site.

Subsequently, all property and equipment is stated at historical cost less depreciation. Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Land and buildings comprise mainly branches and offices. Freehold land is not depreciated. Depreciation on other assets is calculated on the straight line basis to write down their cost to their residual values over their estimated useful lives, as follows:

Buildings	25 – 40 years
Leasehold improvements	Over the remaining the lease period
Fixtures, fittings and equipment	5 years
Motor vehicles	5 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

The Bank assesses at each reporting date whether there is any indication that any item of property and equipment is impaired. If any such indication exists, the Bank estimates the recoverable amount of the relevant assets. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Gains and losses on disposal of property and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

2.8 Intangible assets

Intangible assets comprise computer software and other intangible assets. Intangible assets are recognised at cost. Intangible assets with a definite useful life are amortised using the straight-line method over their estimated useful economic life, generally not exceeding 10 years. Generally, the identified intangible assets of the Bank have a definite useful life. At the end of each reporting period, intangible assets are reviewed for indications of impairment or changes in estimated future economic benefits. If such indications exist, the intangible assets are analysed to assess whether their carrying amount is fully recoverable. An impairment loss is recognised if the carrying amount exceeds the recoverable amount.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

The Bank does not have intangible assets with an indefinite useful life as at 31 December 2014 and 2013.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.8 Intangible assets (continued)

The Bank chooses to use the cost model for the measurement after recognition.

Computer software

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Bank are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

2.9 Impairment of non-financial assets

Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). The impairment test also can be performed on a single asset when the fair value less cost to sell or the value in use can be determined reliably. Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

2.10 Employee benefits

(a) Post employment benefits

The Group operates both a defined benefit plan and defined contribution plan. The assets of these schemes are held in separate trustee administered funds that are funded by contributions from the Group and the employees. Certain of the employees are members of the parent bank's defined benefit scheme. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligation to pay further contributions if the fund does hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. A defined contribution plan is a retirement benefit plan that is not a defined benefit plan.

The Group's contribution to the defined contribution scheme is charged to the statement of profit or loss in the year in which they fall due. The Group has no further payment obligation once the contributions have been paid.

A defined benefit plan is a retirement benefit plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.10 Employee benefits (continued)

(a) Post employment benefit (continued)

The liability recognised in the consolidated statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest yield on government securities that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise.

Past service costs are recognised immediately in income.

The Group's post-employment amounts and activity are disclosed in Note 29.

(b) Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognises termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the entity recognises costs for a restructuring that is within the scope of IAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

(c) Profit-sharing and bonus plans

The Group recognises a liability and an expense for bonuses and profit-sharing, based on a formula that takes into consideration the profit attributable to the Bank's shareholders after certain adjustments. The Group recognises a provision where contractually obliged or where there is a past practice that has created a constructive obligation.

(d) Other employee entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

2.11 Provisions for liabilities

Provisions are recognised for present obligations arising as consequences of past events where it is more likely than not that a transfer of economic benefits will be necessary to settle the obligation, and these can be reliably estimated. When a leasehold property ceases to be used in the business, a provision is made where the unavoidable costs of the future obligations relating to the lease are expected to exceed anticipated rental income. The net costs are discounted using market rates of interest to reflect the long-term nature of the cash flows.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.11 Provisions for liabilities (continued)

Provision is made for the anticipated cost of restructuring, including redundancy costs when an obligation exists. An obligation exists when the Group has a detailed formal plan for restructuring a business and has raised valid expectations in those affected by the restructuring by starting to implement the plan or announcing its main features.

The provision raised is normally utilised within nine months. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is uncertain or cannot be reliably measured. Contingent liabilities are not recognised but are disclosed unless they are remote.

2.12 Income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

(a) Current income tax

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(b) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

2.13 Dividend payable

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with the Kenya Companies' Act.

Notes (continued)

2 Summary of significant accounting policies (continued)

2.14 Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

2.15 Leases

Leases are divided into finance leases and operating leases.

(a) The Bank is the lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

The total payments made under operating leases are charged to 'other operating expenses' on a straight-line basis over the period of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(ii) Finance lease

Leases of assets where the Bank has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in deposits from banks or deposits from customers depending on the counter party. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The leases entered into by the Bank are primarily operating leases.

(b) The Bank is the lessor

When assets are held subject to a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

(c) Fees paid in connection with arranging leases

The Bank makes payments to agents for services in connection with negotiating lease contracts with the Bank's lessees. For operating leases, the letting fees are capitalised within the carrying amount of the related asset, and depreciated over the life of the lease.

Financial Statements

Notes (continued)

2 Summary of significant accounting policies (continued)

2.16 Interest income and expense

Interest income and expense for all interest-bearing financial instruments are recognised in the statement of profit or loss using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Bank estimates cash flows considering all contractual terms of the financial instrument (for example, prepayment options) but does not consider future credit losses. The calculation includes all fees and points paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

2.17 Fee and commission income

Fees and commissions are generally recognised on an accrual basis when the service has been provided. Loan commitment fees for loans that are likely to be drawn down are deferred (together with related direct costs) and recognised as an adjustment to the effective interest rate on the loan.

Fees and commission expenses are generally deferred and recognised on an accrual basis when incurred.

2.18 Dividend income

Dividends are recognised in profit or loss when the Bank's right to receive payment is established.

2.19 Acceptances and letters of credit

Acceptances and letters of credit are accounted for as off-balance sheet transactions and disclosed as contingent liabilities.

2.20 Investment in subsidiaries

Investments in subsidiary companies are carried only in the Bank's accounts at fair value. Changes in fair value of the investments are recognised in equity in "revaluation reserve on investments in subsidiaries" and subsequent recycling into the statement of profit or loss on disposal or impairment.

2.21 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance. In accordance with IFRS 8, the Bank has the following business segments: Consumer banking and Corporate banking.

Notes (continued)

3 Critical accounting estimates and judgements

IFRS require that the Group adopts accounting policies and estimation techniques that the Directors believe are most appropriate in the circumstances for the purpose of giving a true and fair view of the state of the Group's financial affairs, its profit and cash flows. However different policies, estimation techniques and assumptions in critical areas could lead to materially different results.

The following are estimates which are considered to be complex and involve significant amounts of management valuation judgements, often in areas that are inherently uncertain.

(a) Impairment losses on loans and advances

The Bank reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Bank makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a bank, or national or local economic conditions that correlate with defaults on assets in the Bank. The directors use estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

(b) Fair value of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates.

Changes in assumptions about these factors could affect the reported fair value of financial instruments. The fair value hierarchy for these financial instruments is shown in Note 4.4.

(c) Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in Note 33.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

Financial Statements

Notes (continued)

3 Critical accounting estimates and judgements (continued)

(d) Retirement benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in Note 29. The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of government bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability.

Through its defined benefit pension plans, the Group is exposed to a number of risks, the most significant of which are detailed below:

(i) Asset volatility and changes in bond yields

The plan liabilities are calculated using a discount rate set with reference to government bond yields; if plan assets underperform this yield, this will create a deficit.

As the plan matures, the Group intends to reduce the level of investment risk by investing more in assets that better match the liabilities.

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plan's bond holdings.

(ii) Inflation risk

The majority of the plan's benefit obligations are linked to inflation, and higher inflation will lead to higher liabilities. The majority of the plan's assets are either unaffected by (fixed interest bonds) or loosely correlated with (equities) inflation, meaning that an increase in inflation will also increase the deficit.

(iii) Life expectancy

The majority of the plan's obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans' liabilities.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 29 of these financial statements.

Notes (continued)

4 Financial risk management

The Bank has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes.

At a strategic level, our risk management objectives are to:

- Identify the Bank's significant risks;
- Formulate the Bank's risk appetite and ensure that business profile and plans are consistent with it;
- Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and
- Help executives improve the control and co-ordination of risk taking across the business.

The Bank's approach is to provide direction on: understanding the principal risks to achieving Group strategy; establishing risk appetite; and establishing and communicating the risk management framework. The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below).

Steps	Activity
Identify	• Establish the process for identifying and understanding business-level risks.
Assess	• Agree and implement measurement and reporting standards and methodologies.
Control	• Establish key control processes and practices, including limit structures, impairment allowance. • Criteria and reporting requirements. • Monitor the operation of the controls and adherence to risk direction and limits. • Provide early warning of control or appetite breaches. • Ensure that risk management practices and conditions are appropriate for the business environment.
Report	• Interpret and report on risk exposures, concentrations and risk-taking outcomes. • Interpret and report on sensitivities and Key Risk Indicators. • Communicate with external parties.
Manage and challenge	• Review and challenge all aspects of the Bank's risk profile. • Assess new risk-return opportunities. • Advise on optimising the Bank's risk profile. • Review and challenge risk management practices.

Risk responsibilities

On a day-to-day basis risks are managed through a number of management committees. Through this process the Bank monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and RCC and the Board.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

Risk responsibilities (continued)

The Board approves risk appetite and the Board Audit Committee monitors the Bank's risk profile against this appetite. In more detail:

- The Board Audit Committee has responsibility for ensuring effective risk management and control.
- Business Heads are responsible for the identification and management of risk in their businesses.
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.

4.1 Credit risk

Credit risk is the risk of suffering financial loss should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group.

The credit risk that the Group faces arises mainly from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts entered into with our clients. Other sources of credit risk arise from trading activities, including debt securities; settlement balances with market counterparties, available for sale assets and reverse repurchase loans.

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations;
- monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

4.1.1 Credit risk measurement

The Bank establishes, through charges against profit, impairment allowances and other credit provisions for the incurred loss inherent in the lending book. Under IFRS, impairment allowances are recognised where there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition, and where these events have had an impact on the estimated future cash flows of the financial asset or portfolio of financial assets. Impairment of loans and receivables is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If the carrying amount is less than the discounted cash flows, then no further allowance is necessary.

Impairment allowances are measured individually for assets that are individually significant, and collectively where a portfolio comprises homogenous assets and where appropriate statistical techniques are available. In terms of individual assessment, the principal trigger point for impairment is the missing of a contractual payment which is evidence that an account is exhibiting serious financial problems, and where any further deterioration is likely to lead to failure. Two key inputs to the cash flow calculation are the valuation of all security and collateral, as well as the timing of all asset realisations, after allowing for all attendant costs. This method applies mainly in the corporate portfolios.

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

4.1.1 Credit risk measurement (continued)

For collective assessment, the principal trigger point for impairment is the missing of a contractual payment which is the policy consistently adopted across all credit cards, unsecured loans, mortgages and most other retail lending. The calculation methodology relies on the historical experience of pools of similar assets; hence the impairment allowance is collective. The impairment calculation is based on a roll-rate approach, where the percentage of assets that move from the initial delinquency to default is derived from statistical probabilities based on historical experience.

Recovery amounts and contractual interest rates are calculated using a weighted average for the relevant portfolio. This method applies mainly to the Group's retail portfolios and is consistent with Barclay's policy of raising an allowance as soon as impairment is identified.

The impairment allowance in the retail portfolios is mainly assessed on a collective basis and is based on the drawn balances adjusted to take into account the likelihood of the customer defaulting at a particular point in time (PD) and the amount estimated as not recoverable (LGD).

The basic calculation is:

Impairment allowance = Total outstanding x Probability of Default (PD) x Loss Given Default (LGD)

The PD increases with the number of contractual payments missed thus raising the associated impairment requirement.

Impairment in the wholesale portfolios is generally calculated by valuing each impaired asset on a case by case basis, i.e. on an individual assessment basis. A relatively small amount of wholesale impairment relates to unidentified or collective impairment; in such cases impairment is calculated using modelled PD x LGD x EAD (Exposure at default) adjusted for an emergence period.

Unidentified impairment allowances are also raised to cover losses which are judged to be incurred but not yet specifically identified in customer exposures at the balance sheet date, and which, therefore, have not been specifically reported. The incurred but not yet reported calculation is based on the asset's probability of moving from the performing portfolio to being specifically identified as impaired within the given emergence period and then on to default within a specified period. This is calculated on the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. The emergence periods vary across businesses and are based on actual experience and are reviewed on an annual basis. This methodology ensures that the Group captures the loss incurred at the correct balance sheet date. These impairment allowances are reviewed and adjusted at least quarterly by an appropriate charge or release of the stock of impairment allowances based on statistical analysis and management judgement.

4.1.2 Risk limit control and mitigation policies

The Bank manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or banks of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

4.1.2 Risk limit control and mitigation policies (continued)

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

(a) Collateral

The Bank implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation.

The principal collateral types for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

(b) Lending limits (for derivative and loan books)

The Bank maintains strict control limits on net open derivative positions (that is, the difference between purchase and sale contracts) by both amount and term. The amount subject to credit risk is limited to expected future net cash inflows of instruments, which in relation to derivatives are only a fraction of the contract, or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers, together with potential exposures from market movements.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risk arising from the Bank's market transactions on any single day.

(c) Financial covenants (for credit related commitments and loan books)

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit carry the same credit risk as loans. Documentary and commercial letters of credit – which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions – are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct loan.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards (often referred to as financial covenants).

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

The following table represents the credit risk exposure to the Group at 31 December 2014 and 2013, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out below are based on net carrying amounts as reported in the balance sheet.

Maximum exposure to credit risk before collateral held or other credit enhancements

The Group's maximum exposure to credit risk on financial assets subject to credit risk is set out in the table below:

At 31 December 2014	Balances with Central Bank	Items in the course of collection	Financial assets available for sale	Deposits and balances due from banking institutions	Balances due from group companies	Loans and advances to customers	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	17,612	799	51,033	1,207	4,755	123,089	198,495
Past due but not impaired							
Past due 30 to 90 days	-	-	-	-	-	1,533	1,533
Past due over 90 days	-	-	-	-	-	5	5
Impaired							
Individually assessed	-	-	-	-	-	4,364	4,364
Total	17,612	799	51,033	1,207	4,755	128,991	204,397
Impairment allowances							
Identified impairment	-	-	-	-	-	(3,094)	(3,094)
Unidentified impairment	-	-	-	-	-	(474)	(474)
Total carrying value	17,612	799	51,033	1,207	4,755	125,423	200,829

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

At 31 December 2014	Balances with Central Bank	Items in the course of collection	Financial assets available for sale	Deposits and balances due from banking institutions	Balances due from group companies	Loans and advances to customers	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	10,613	870	47,559	1,386	9,129	117,115	186,672
Past due but not impaired							
Past due 30 to 90 days	-	-	-	-	-	947	947
Past due over 90 days	-	-	-	-	-	35	35
Impaired							
Individually assessed	-	-	-	-	-	3,407	3,407
Total	10,613	870	47,559	1,386	9,129	121,504	191,061
Impairment allowances							
Identified impairment	-	-	-	-	-	(2,729)	(2,729)
Unidentified impairment	-	-	-	-	-	(413)	(413)
Total carrying value	10,613	870	47,559	1,386	9,129	118,362	187,919

Credit quality of loans and advances

All loans and advances are categorised as neither past due nor impaired, past due but not impaired, or impaired. Impaired loans include restructured loans. For the purposes of these disclosures:

- A loan is considered past due when the borrower has failed to make a payment when due under the terms of the loan contract;
- The impairment allowance includes allowances both against financial assets that have been individually impaired and those subject to collective impairment;
- Loans neither past due nor impaired consist predominantly of wholesale and retail loans that are performing. These loans, although unimpaired, may carry an unidentified impairment allowance; and
- Impaired loans that are collectively assessed for impairment consist predominantly of retail loans that are 1 day or more past due for which a collective allowance is raised. Wholesale loans that are past due, individually assessed as unimpaired, but which carry an unidentified impairment allowance, are excluded from this category.

Collateral and other credit enhancements

Financial assets that are past due or individually assessed as impaired are at least partially collateralised or subject to other forms of credit enhancement. The effects of such arrangements are taken into account in the calculation of the impairment allowance held against them.

Notes (continued)

4 Financial risk management (continued)

4.1 Credit risk (continued)

Collateral and other credit enhancements obtained

The fair value of assets held by the Group as at 31 December as collateral was as follows:-

Carrying amount	Group and Bank	
	2014 Shs million	2013 Shs million
Nature of assets		
Commercial and industrial property	8,682	6,827

There is no concentration risk arising within the collaterals held and no collateral has been repledged in 2014 or 2013.

Write-off policy

After an advance has been identified as impaired and is subject to an impairment allowance, the stage may be reached whereby it is concluded that there is no realistic prospect of further recovery. Write off will occur when, and to the extent that, the whole or part of a debt is considered irrecoverable. The timing and extent of write offs may involve some element of subjective judgement. Nevertheless, a write off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

Such assets are only written off once all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off are written back and hence decrease the amount of the reported loan impairment charge in the profit or loss.

4.2 Market risk

The Bank takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, foreign exchange rates and equity prices. The Bank separates exposures to market risk into either trading or non-trading portfolios.

The market risks arising from trading and non-trading activities are monitored in Bank Treasury daily. Regular reports are submitted to the Board of Directors and heads of each business unit.

Trading portfolios include those positions arising from market-making transactions where the Bank acts as principal with clients or with the market.

Non-trading portfolios primarily arise from the interest rate management of the banks retail and commercial banking assets and liabilities. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Bank's held-to-maturity and available-for-sale financial assets.

4.2.1 Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.1 Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

(a) Value at risk

The Bank applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for the Bank, which are monitored on a daily basis by Bank Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Bank's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by Bank Treasury. Average daily VAR for the Bank was Shs 2.6 million (2013: Shs 1.9 million).

(b) Stress tests

The Bank applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.2 Foreign exchange risk

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarises the Bank's exposure to foreign exchange risk at 31 December 2014. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenya Shillings):

At 31 December 2014	USD	GBP	Euro	Other	Total
Assets					
Cash and bank balances	1,170	66	148	32	1,415
Loans and advances to customers	22,688	1	1,430	85	24,205
Other assets and prepaid expenses	(1,204)	607	184	(77)	(490)
Total financial assets	22,654	674	1,762	40	25,130
Liabilities					
Balances due to banking institutions and group companies	8,910	-	-	(47)	8,863
Customer deposits	21,284	1,263	2,238	293	25,078
Other liabilities and accrued expenses	-	-	-	-	-
Total financial liabilities	30,194	1,263	2,238	246	33,941
Net on balance sheet financial position	(7,539)	(589)	(475)	(206)	(8,811)
Off balance sheet net notional position	8,486	596	467	122	9,672
Overall net position	947	7	(8)	(84)	862

At 31 December 2013	USD	GBP	Euro	Other	Total
Total financial assets	24,495	449	5,237	804	30,985
Total financial liabilities	25,517	1,381	5,710	954	33,562
Net on balance sheet financial position	(1,022)	(932)	(473)	(150)	(2,577)
Off balance sheet net notional position	1,202	935	483	(49)	2,571
Overall net position	180	3	10	(199)	(6)

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.2 Foreign exchange risk (continued)

Foreign exchange risk sensitivity analysis

The impact on profit after tax of a 10% appreciation or depreciation of the shilling would be as follows:-

	At 31 December 2014			At 31 December 2013		
	Currency carrying amount	10% appreciation	10% depreciation	Currency carrying amount	10% appreciation	10% depreciation
Assets						
USD	22,654	(2,266)	2,266	24,495	(2,450)	2,450
GBP	674	(67)	67	449	(45)	45
EURO	1,762	(176)	176	5,237	(524)	524
Other currencies	40	-	-	804	(80)	80
Liabilities						
USD	30,194	3,019	(3,019)	25,516	2,552	(2,552)
GBP	1,263	126	(126)	1,381	138	(138)
EURO	2,238	224	(224)	5,710	571	(571)
Other currencies	246	25	(25)	954	95	(95)
Total increase/ (decrease)		885	(885)		257	(257)
Tax charge of 30%		(265)	265		(77)	77
Effect on profit for the year		620	(620)		180	(180)
As percentage of net profit after tax		7.39%	7.39%		2.36%	2.36%

At 31 December 2014, if the shilling had weakened /strengthened by 10% against the major trading currencies with all other variables held constant after tax profit would have been Shs 620 million (2013: Shs 180 million) lower/higher.

4.2.3 Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.3 Interest rate risk (continued)

The table below summarises the exposure to interest rate risks. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are in millions of Shillings.

At 31 December 2014	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non-interest bearing	Total
ASSETS						
Cash and balances with Central Bank of Kenya	-	-	-	-	24,568	24,568
Items in the course of collection from banks	799	-	-	-	-	799
Financial assets at FVTPL	-	-	-	6,133	-	6,133
Financial assets available for sale	-	8,109	26,070	16,854	-	51,033
Deposits and balances due from banking institutions	1,207	-	-	-	-	1,207
Balances due from group companies	4,755	-	-	-	-	4,755
Loans and advances to customers	8,445	27,838	45,572	43,568	-	125,423
Other assets and prepaid expenses	-	-	-	-	5,790	5,790
Property and equipment	-	-	-	-	2,847	2,847
Prepaid operating lease rentals	-	-	-	-	57	57
Intangible assets	-	-	-	-	2,490	2,490
Retirement benefit asset	-	-	-	-	89	89
Deferred income tax	-	-	-	-	254	254
Current income tax	-	-	-	-	399	399
Total assets	15,206	35,947	71,642	66,555	36,494	225,844
LIABILITIES & EQUITY						
Items in the course of collection from Banks	1,873	-	-	-	-	1,873
Deposits and balances due to banking institutions	121	-	-	-	-	121
Balances due to group companies	13,291	-	-	-	-	13,291
Customer deposits	39,941	20,426	29,080	68,346	6,986	164,779
Other liabilities and accrued expenses	-	-	-	-	5,478	5,478
Borrowings	-	-	2,117	-	-	2,117
Shareholders' equity	-	-	-	-	38,185	38,185
Total liabilities and equity	55,226	20,426	31,197	68,346	50,649	225,844
Interest sensitivity gap	(40,020)	15,521	40,445	(1,791)	(14,155)	-
At 31 December 2013						
Total assets	32,700	30,407	61,110	53,089	29,433	206,739
Total liabilities and equity	68,899	19,226	15,850	64,496	38,268	206,739
Interest sensitivity gap	(36,199)	11,181	45,260	(11,407)	(8,835)	-

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.2 Market risk (continued)

4.2.3 Interest rate risk (continued)

Interest risk sensitivity analysis

The impact on income from financial instruments of a 1% increase or decrease in interest rates would be as follows:-

	At 31 December 2014			At 31 December 2013		
	Carrying amounts	1% increase	1% decrease	Carrying amounts	1% increase	1% decrease
ASSETS						
Cash and balances with Central Bank of Kenya	24,568	-	-	16,908	-	-
Items in the course of collection from banks	799	(1)	1	870	(1)	1
Financial assets at FVTPL	6,133	(6)	6	1,987	-	-
Financial assets available for sale	51,033	(510)	510	47,559	(476)	476
Deposits and balances due from banking institutions	1,207	(12)	12	1,386	(14)	14
Balances due from group companies	4,755	(48)	48	9,129	(91)	91
Loans and advances to customers	125,423	(1,254)	1,254	118,362	(1,183)	1,183
Other assets and prepayments	5,790	-	-	3,808	-	-
Property and equipment	2,847	-	-	2,786	-	-
Prepaid operating lease rentals	57	-	-	58	-	-
Intangible assets	2,490	-	-	2,858	-	-
Current income tax	254	-	-	1,028	-	-
Retirement benefit tax	89	-	-	-	-	-
Deferred income tax	399	-	-	-	-	-
LIABILITIES & EQUITY						
Items in the course of collection from banks	1,873	(19)	19	2,508	(25)	25
Deposits and balances due to banking institutions	121	1	(1)	4,738	47	(47)
Balances due to group companies	13,291	133	(133)	8,760	87	(87)
Customer deposits	164,779	1,578	(1,578)	151,125	1,493	(1,493)
Other liabilities and accrued expenses	5,478	-	-	3,848	-	-
Borrowings	2,117	21	(21)	3,109	31	(31)
Deferred income tax	-	-	-	154	-	-
Retirement benefit obligations	-	-	-	125	-	-
Shareholders' equity	38,185	-	-	32,372	-	-
Net interest income increase/ (decrease)		(117)	117		(132)	132
Tax charge at 30%		35	(35)		40	(40)
Impact on profit after tax		(82)	82		(92)	92

At 31 December 2014 if interest rates were to increase/decrease by 1% with all other variables held constant the after tax profit would have been Shs 82 million (2013: Shs 92 million) higher/lower with other components of equity remaining the same.

Notes (continued)

4 Financial risk management (continued)

4.3 Liquidity risk

The definition of liquidity risk is the risk that the Bank is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs.

This risk is inherent in all banking operations and can be affected by a range of Bank-specific and market-wide events which can result in:

- an inability to support normal business activity; and
- a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Bank's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Bank.

In illiquid markets, the Bank may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Bank's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Bank in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- To maintain market confidence in the Bank's name;
- To set limits to control liquidity risk within and across lines of business;
- To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;
- To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- To maintain a contingency funding plan that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

4.3.1 Liquidity risk management process

The Bank's liquidity management process, as carried out within the Bank and monitored by a separate team in Bank Treasury, includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. These include replenishment of funds as they mature or are borrowed by customers.
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;
- Monitoring the liquidity ratios of the consolidated statement of financial position against internal and regulatory requirements; and
- Managing the concentration and profile of debt maturities.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.3 Liquidity risk (continued)

4.3.1 Liquidity risk management process (continued)

Monitoring and reporting takes the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

The table below represents the undiscounted cash flows payable by the Bank under non – derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

At 31 December 2014	Up to 1 month	1 – 3 months	3-12 months	1 – 3 years	3 -5 years	Over 5 years	Totals
Liabilities							
Customer deposits	140,129	15,167	7,148	2,335	-	-	164,779
Deposits and balances due to banking institutions	121	-	-	-	-	-	121
Balances due to group companies	13,291	-	-	-	-	-	13,291
Other liabilities and accrued expenses	641	6,982	2,117	-	-	-	9,740
Total financial liabilities (Contractual maturity dates)	154,182	22,149	9,265	2,335	-	-	187,931
Assets held for managing liquidity (contractual maturity dates)	22,366	8,109	26,070	18,654	-	-	75,199

At 31 December 2013							
Liabilities							
Customer deposits	136,153	8,697	5,647	628	-	-	151,125
Deposits and balances due to banking institutions	4,738	-	-	-	-	-	4,738
Balances due to group companies	8,760	-	-	-	-	-	8,760
Other liabilities and accrued expenses	279	6,442	3,109	-	-	-	9,830
Total financial liabilities (Contractual maturity dates)	149,930	15,139	8,756	628	-	-	174,453
Assets held for managing liquidity (contractual maturity dates)	12,371	6,764	26,145	14,603	-	-	59,883

Notes (continued)

4 Financial risk management (continued)

4.4 Fair value of financial assets and liabilities

Fair value measurements are grouped by level of the following fair value measurement hierarchy:

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).

Level 3 - Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily equity investments classified as trading securities.

The fair value of financial instruments that are not traded in an active market (for example, government debt instruments) is determined by using discounted cashflow valuation techniques. These valuation techniques maximise the use of observable market data (quoted yields) and rely as little as possible on Bank specific estimates other than a 43bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The following table presents the Group's assets and liabilities that are measured at fair value at 31 December 2014.

31 December 2014	Level 1 Shs million	Level 2 Shs million	Level 3 Shs million	Total balance Shs million
Assets				
Financial assets at fair value through profit or loss				
– Trading securities	6,133	-	-	6,133
Available for sale financial assets				
– Debt investments	-	51,033	-	51,033
Total assets	<u>6,133</u>	<u>51,033</u>	<u>-</u>	<u>57,166</u>

There are no financial liabilities measured at fair value through profit and loss as at 31 December 2014.

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.4 Fair value of financial assets and liabilities (continued)

31 December 2013	Level 1 Shs million	Level 2 Shs million	Level 3 Shs million	Total balance Shs million
Assets				
Financial assets at fair value through profit or loss				
– Trading securities	1,987	-	-	1,987
Available for sale financial assets				
– Debt investments	-	47,559	-	47,559
Total assets	<u>1,987</u>	<u>47,559</u>	<u>-</u>	<u>49,546</u>

4.5 Capital management

Capital risk is the risk that the Bank is unable to maintain appropriate capital ratios which could lead to:

- (i) an inability to support business activity;
- (ii) a failure to meet regulatory requirements ; and
- (iii) changes to credit ratings.

Capital Management is integral to the Group's approach to financial stability and sustainability management and is therefore embedded in the way our businesses and legal entities operate. Our Capital Management strategy is driven by the strategic aims of the Group and the risk appetite set by the Board.

Our objectives are achieved through well embedded capital management practices:

Primary Objectives	Core Practices
Provide a viable and sustainable business offering by maintaining adequate capital to cover the Bank's current and forecast business needs and associated risks	• Monitor internal targets for capital demand and ratios • Meet minimum regulatory requirements
Ensure the Bank maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions	• Perform internal and regulatory stress tests • Maintain capital buffers over regulatory minimum • Develop contingency plans for severe (stress management actions)
Support the Bank's growth and strategic options	• Maintain a capital plan on a short-term and medium term basis aligned with strategic objectives

Our approach to capital risk management

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Barclays operates.

Notes (continued)

4 Financial risk management (continued)

4.5 Capital management (continued)

Capital planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles. The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs. Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

Regulatory Capital

The Group maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Bank's regulatory capital is managed by its Treasury and comprises two tiers:

- Tier 1 capital: share capital, Retained earnings, excluding unrealised gains arising on the fair valuation of available for sale investments; and
- Tier 2 capital: Statutory reserve, medium term note and subordinated loan capital.

The risk weighted assets are measured using the Risk weights prescribed under the Central Bank prudential guidelines.

Capital adequacy

Key capital ratios	Regulatory minimum	As at 31.12.14	As at 31.12.13
Tier 1	10.5%	15.7%	15.2%
Total Capital	14.5%	16.0%	15.9%

	Shs m	Shs m	Shs m
Tier 1 capital	1,000	32,629	29,082
Tier 2 capital	-	432	1,373
Total Capital	-	33,061	30,456

Capital resources	2014 Shs million	2013 Shs million
Tier 1 Capital:		
Ordinary Share Capital	2,716	2,716
Retained earnings	29,913	26,366
Total qualifying tier 1 Capital	32,629	29,082
Tier 2 Capital:		
Qualifying portion of statutory loan loss reserve	432	973
Subordinated debts	-	400
Total qualifying tier 2 Capital	432	1,373
Total regulatory capital	33,061	30,456
Risk weighted assets:		
On balance sheet - credit risk	136,528	128,239
Off balance sheet - credit risk	15,284	12,946
Operational and market risk	55,342	50,467
Total risk weighted assets	207,154	191,652

Financial Statements

Notes (continued)

4 Financial risk management (continued)

4.5 Capital management (continued)

Capital resources

The Group manages both its debt and equity capital actively.

	2014 Shs million	2013 Shs million
Shareholders' equity	38,185	32,372
Total capital resources	38,185	32,372

Financial Statements

Notes (continued)

5 Interest income and expense

	2014 Shs million	2013 Shs million
Interest income		
Loans and advances to customers	18,143	16,296
Available for sale securities	4,587	4,728
Loans and advances to banks	211	273
	22,941	21,297
Interest expense		
Deposits from customers	2,887	2,020
Borrowings	315	320
Deposits from banks	135	97
	3,337	2,437

6 Fees and commissions

	2014 Shs million	2013 Shs million
Fees and commissions income		
Credit related fees and commissions	1,537	1,682
Service related fees and commissions	5,652	5,555
	7,189	7,237
Fees and commissions expense	825	717

7 Net income from financial instruments carried at fair value through profit or loss

	2014 Shs million	2013 Shs million
Equity investment securities	2	384
Treasury bonds	264	65
	266	449

Financial Statements

Notes (continued)

8 Employee benefits

	Group and Bank	
	2014 Shs million	2013 Shs million
Salaries, allowances and accrued incentive payments	7,005	6,450
Post-employment benefits:		
Defined contribution benefits scheme	288	479
Defined benefit plan (Note 29)	27	85
Social security cost	8	9
Staff training costs	78	122
Staff medical costs	371	369
Other staff costs	323	600
	8,100	8,114
The number of employees at year end was:		
Management	1,289	1,210
Unionisable	1,513	1,605
LGs and agency	1,330	1,014
	4,132	3,829

The Bank has sales staff, referred to as Lead Generators (LGs). Agency staff are hired on a short term basis.

9 Other operating expenses

	Group and Bank	
	2014 Shs million	2013 Shs million
Property and occupation expenses	710	668
Operating lease rentals	722	741
Communication, subscription, publication and stationery	1,165	1,138
Auditor's fee	19	19
Travel and accommodation	204	241
Equipment costs	330	349
Other costs	2,270	2,359
	5,420	5,515

10 Depreciation and amortisation expense

	Group and Bank	
	2014 Shs million	2013 Shs million
Depreciation of property and equipment (Note 20)	487	537
Amortisation of intangible assets (Note 21)	583	611
	1,070	1,148

Notes (continued)

11 Income tax expense

	Group and Bank	
	2014 Shs million	2013 Shs million
Current income tax	4,354	3,496
Deferred income tax (Note 28)	(448)	15
	<u>3,906</u>	<u>3,511</u>

The tax on the Group and Bank's profit before income tax differs from the theoretical amount that would arise using the statutory rate as follows:

	Group and Bank	
	2014 Shs million	2013 Shs million
Profit before income tax	12,293	11,134
Tax calculated at the statutory tax rate of 30% (2013: 30%)	3,688	3,340
Tax effect of:		
Income not subject to tax	(6)	(6)
Expenses not deductible for tax purposes	272	241
Over provision of deferred income tax in prior years	(147)	(89)
Under provision of current tax in prior years	99	25
	<u>3,906</u>	<u>3,511</u>

Deferred income tax on fair value gains or losses on available for sale financial assets has been recorded in other comprehensive income.

12 Earnings per share

The basic earnings per share is calculated by dividing the profit attributable to shareholders by the number of ordinary shares outstanding at the end of the year.

	Group and Bank	
	2014	2013
Net profit attributable to shareholders (Shs million)	8,387	7,623
Number of ordinary shares in issue (millions)	5,432	5,432
Basic earnings per share (Shs)	<u>1.54</u>	<u>1.40</u>

There were no potentially dilutive shares outstanding at 31 December 2014 or 2013. Diluted earnings per share are therefore the same as basic earnings per share.

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Notes (continued)

13 Dividends per share

At the Annual General Meeting to be held on 29 April 2015, a final dividend in respect of the year ended 31 December 2014 of Shs 1.00 (2013: Shs 0.5) per share amounting to Shs 5,432 million (2013: Shs 2,716 million) will be proposed. No interim dividend was paid in the year (2013: Shs 0.2 per share amounting to Shs 1,086 million). This will bring the total dividend for the year to Shs 1.00 (2013: Shs 0.7) per share amounting to Shs 5,432 million (2013: Shs 3,802 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10% for non-resident shareholders.

14 Cash and balances with Central Bank of Kenya

	Group and Bank	
	2014 Shs million	2013 Shs million
Cash in hand	6,956	6,295
Balances with Central Bank of Kenya	17,612	10,613
	<u>24,568</u>	<u>16,908</u>

15 Financial assets at fair value through profit or loss

	Group and Bank	
	2014 Shs million	2013 Shs million
Equity investments	-	1,173
Treasury bonds	6,133	814
	<u>6,133</u>	<u>1,987</u>

16 Financial assets available-for-sale

	Group and Bank	
	2014 Shs million	2013 Shs million
Treasury bills and bonds:		
Maturing within 90 days	8,109	5
Maturing after 90 days	42,924	47,554
	<u>51,033</u>	<u>47,559</u>

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as available for sale. The weighted average effective interest rate on the Government securities at 31 December 2014 was 9.2% (2013: 10.6%).

Notes (continued)

17 Deposits and balances due from banking institutions

	Group and Bank	
	2014 Shs million	2013 Shs million
Placements with other banks	1,207	1,386

The weighted average effective interest rate on deposits and balances due from banking institutions at 31 December 2014 was 7.7% (2013: 3.8%).

18 Loans and advances to customers

	Group and Bank	
	2014 Shs million	2013 Shs million
Commercial loans	97,674	84,092
Bills discounted	16,986	25,118
Advances under finance lease agreements	7,753	5,400
Overdrafts	6,578	6,894
Gross loans and advances to customers	128,991	121,504
Less provision:		
Provision for impairment of loans and advances		
- Individually assessed	(3,095)	(2,729)
- Collectively assessed	(473)	(413)
Loans and advances to customers net of provisions	125,423	118,362

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Shs 1,270 million (2013: Shs 678 million). All such loans have been written down to the present value of their recoverable amount.

Financial Statements

Notes (continued)

18 Loans and advances to customers (continued)

Movements in provisions for impairment of loans and advances are as follows:

Year ended 31 December 2014	Group and Bank		
	Identified provisions Shs million	Unidentified provision Shs million	Total Shs million
At start of year	2,729	413	3,142
New impairment provisions	1,705	-	1,705
Increase in impairment provisions	227	60	287
Recoveries and impairment provisions no longer required	(290)	-	(290)
Net increase in impairment provisions	1,642	60	1,702
Amounts written off during the current year	(1,276)	-	(1,276)
At end of year	3,095	473	3,568
Net increase in impairment provisions	1,642	60	1,702
Amounts recovered previously written off	(297)	-	(297)
Net impairment charge to the profit or loss	1,345	60	1,405

Year ended 31 December 2013			
At start of year	2,454	315	2,769
New impairment provisions	1,584	-	1,584
Increase in impairment provisions	113	98	211
Recoveries and impairment provisions no longer required	(317)	-	(317)
Net increase in impairment provisions	1,380	98	1,478
Amounts written off during the current year	(1,105)	-	(1,105)
At end of year	2,729	413	3,142
Net increase in impairment provisions	1,380	98	1,478
Amounts recovered previously written off	(255)	-	(255)
Net impairment charge to the profit or loss	1,125	98	1,223

The weighted average effective interest rate on loans and advances at 31 December 2014 was 14.3% (2013: 14.3%).

Notes (continued)

18 Loans and advances to customers (continued)

Impaired loans and advances to customers

	Group and Bank	
	2014 Shs million	2013 Shs million
Loans and advances individually and collectively assessed as impaired	4,364	3,407
Provision for impairment	(3,095)	(2,729)
Net loans and advances to customers individually impaired	1,269	678
Collectively assessed impairment	473	413

Economic sector risk concentrations within the customer loan portfolio were as follows:

	Group and Bank	
	2014 %	2013 %
Manufacturing	12	9
Wholesale and retail trade	11	1
Transport and communications	4	-
Business services	-	-
Agricultural	2	1
Private individuals	61	83
Other	10	6
	100	100

19 Other assets and prepaid expenses

	Group and Bank	
	2014 Shs million	2013 Shs million
Prepaid expenses	2,258	1,833
Other assets	3,532	1,975
Items in the course of collection from banks	799	870
	6,589	4,678

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Notes (continued)

20 Property and equipment

	Group and Bank					
	Freehold buildings	Leasehold land and buildings	Fixtures fittings & equipment	Motor vehicles	WIP	Total
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Year ended 31 December 2014						
Cost						
At start of year	129	3,674	6,164	49	493	10,509
Additions	-	184	480	19	-	683
Transfers	-	-	-	-	(135)	(135)
At end of year	129	3,858	6,644	68	358	11,057
Accumulated depreciation						
At start of year	39	2,290	5,356	38	-	7,723
Charge for the year	1	159	324	3	-	487
At end of year	40	2,449	5,680	41	-	8,210
Net book value	89	1,409	964	27	358	2,847

Year ended 31 December 2013						
Cost						
At start of year	127	3,572	5,777	49	328	9,853
Additions	2	102	387	-	165	656
Transfers	-	-	-	-	-	-
At end of year	129	3,674	6,164	49	493	10,509
Accumulated depreciation						
At start of year	38	2,060	5,053	35	-	7,186
Charge for the year	1	230	303	3	-	537
At end of year	39	2,290	5,356	38	-	7,723
Net book value	90	1,384	808	11	493	2,786

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Notes (continued)

21 Intangible assets

Computer software

	Group and Bank	
	2014 Shs million	2013 Shs million
Cost		
At start of year	5,177	5,160
Transfers from WIP	135	-
Additions	80	17
At end of year	5,392	5,177
Accumulated amortisation		
At start of year	2,319	1,708
Charge for the year	583	611
At end of year	2,902	2,319
Net book value	2,490	2,858

22 Prepaid operating lease rentals

	Group and Bank	
	2014 Shs million	2013 Shs million
At start of year	58	59
Amortisation charge for the year	(1)	(1)
At end of year	57	58

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Notes (continued)

23 Investments in subsidiary companies

	Percentage Shareholding	Bank	
		2014 Shs million	2013 Shs million
Barclays Financial Services Limited	100%	275	275
Barclays (Kenya) Nominees Limited	100%	-	-
Barclays Bank Insurance Agency Limited	100%	-	-
		275	275

Barclays (Kenya) Nominees Limited, Barclays Financial Services Limited (formerly Barclays Mortgages Limited) and Barclays Bank Insurance Agency Limited (formerly Barclays Mercantile Limited) are dormant companies. The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the company.

24 Deposits and balances due to banking institutions

	Group and Bank	
	2014 Shs million	2013 Shs million
Due to local banks	-	4,495
Due to foreign banks	121	243
	121	4,738

The weighted average effective interest rate on deposits and balances due to banking institutions at 31 December 2014 was 6.8% (2013:8.2%).

25 Customer deposits

	Group and Bank	
	2014 Shs million	2013 Shs million
Current and demand deposits	97,758	98,048
Savings accounts	22,388	20,144
Fixed deposit accounts	44,633	32,933
	164,779	151,125

The weighted average effective interest rate on customer deposits at 31 December 2014 was 1.9% (2013: 1.4%).

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Notes (continued)

25 Customer deposits (continued)

Business sector risk concentrations within the customer deposit portfolio were as follows:-

	Group and Bank	
	2014 %	2013 %
Non-financial public enterprises	1	1
Private enterprises	58	59
Non-profit enterprises & individuals	8	11
Foreign currency	7	1
Other	26	28
	<u>100</u>	<u>100</u>

26 Other liabilities and accrued expenses

	Group		Bank	
	2014 Shs million	2013 Shs million	2014 Shs million	2013 Shs million
Other payables	2,649	755	2,921	1,027
Items in course of collection to banks	1,873	2,508	1,873	2,508
Unclaimed dividends	896	852	896	852
Accrued expenses	875	774	875	774
Deferred income	724	690	724	690
Outstanding bankers cheques	334	777	334	777
	<u>7,351</u>	<u>6,356</u>	<u>7,623</u>	<u>6,628</u>

27 Borrowings

	Group and Bank	
	2014 Shs million	2013 Shs million
Fixed rate medium term notes	1,330	1,330
Floating rate medium term notes	787	1,779
	<u>2,117</u>	<u>3,109</u>

The medium term notes are an unsecured seven year term note issued by the Bank for the development of its business and to strengthen its capital base. They are registered with the Capital Markets Authority. The floating rate notes bear interest at rates referenced to the Government of Kenya Treasury bill rates while the fixed rate notes are priced at 11.5%. Effective interest rate on floating rate note at 31 December 2014 was 11.1% (December 2013: 9.8%).

Due to the remaining tenor of the instruments, the directors believe that the carrying values of the above approximate their fair values.

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Notes (continued)

28 Deferred income tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using the enacted income tax rate of 30% (2013: 30%). The movement on the deferred income tax account is as follows:

	Group and Bank	
	2014 Shs million	2013 Shs million
At start of year	(154)	(223)
(Charge)/credit to other comprehensive income	(40)	84
Credit/(charge) to profit or loss (Note 11)	448	(15)
At end of year	254	(154)

Consolidated deferred income tax assets and liabilities and deferred income tax credit in the profit or loss and statement of other comprehensive income are attributable to the following items:

	1.1.2014 Shs million	Credit to profit or loss Shs million	Charge to other comprehensive income Shs million	31.12.2014 Shs million
Deferred income tax assets				
Provision for impairment of loans and advances	277	51	-	328
Fair value gains on available for sale assets	173	-	(40)	133
	450	51	(40)	461
Deferred income tax liabilities				
Unrealised gain on assets at FVTPL	(352)	352	-	-
Property and equipment	(252)	45	-	(207)
	(604)	397	-	(207)
Net deferred tax (liability)/asset	(154)	448	(40)	254

Notes (continued)

28 Deferred income tax (continued)

	1.1.2013	Credit to profit or loss	Charge to other comprehensive income	31.12.2013
	Shs million	Shs million	Shs million	Shs million
Deferred income tax assets				
Provision for impairment of loans and advances	100	177	-	277
Fair value gains on available for sale assets	89	-	84	173
	189	177	84	450
Deferred income tax liabilities				
Unrealised gain on assets at FVTPL	(237)	(115)	-	(352)
Property and equipment	(175)	(77)	-	(252)
	(412)	(192)	-	(604)
Net deferred tax (liability)/asset	(223)	(15)	84	(154)

If all the retained earnings of the Company at 31 December 2014 were to be distributed, there would be no additional compensating tax.

Financial Statements

Notes (continued)

29 Post-employment benefit assets/ (obligations)

The amounts recognised in the statement of financial position are determined as follows:

	Group and Bank	
	31 December 2014 Shs million	31 December 2013 Shs million
Present value of funded obligations	(5,040)	(5,045)
Fair value of scheme assets	5,129	4,920
Asset/(liability) in the statement of financial position	89	(125)

Reconciliation of asset/ (liability) in the statement of financial position

	Group and Bank	
	2014 Shs million	2013 Shs million
At start of year	(125)	(664)
Current service cost	(25)	(17)
Net interest cost	(2)	(68)
Actuarial gains	49	246
Employer contribution	192	378
At end of year	89	(125)
The amounts recognised in profit or loss for the year are as follows:		
Current service cost	25	17
Net interest cost	2	68
Net charge for the year included in employment benefits (Note 8)	27	85

Notes (continued)

29 Post-employment benefit assets/(obligations) (continued)

Changes in the present value of the post-employment benefit assets/(obligations) over the year:

	Group and Bank	
	2014 Shs million	2013 Shs million
At start of year	5,046	4,948
Current service cost	24	17
Settlement	-	(2)
Interest cost	570	563
Actuarial loss arising from experience adjustments	-	72
Benefits paid	(600)	(553)
At end of year	5,040	5,045
Changes in the fair value of plan assets over the year:		
At start of year	4,920	4,284
Expected return on plan assets	568	493
Actuarial gains	48	319
Employer contributions	193	377
Benefits paid	(600)	(553)
At end of year	5,129	4,920

The plan assets comprise the following:

	2014 Shs million	%	2013 Shs million	%
Equity instruments	1,733	34%	1,709	35%
Debt instruments and fixed deposits	1,577	31%	1,616	33%
Investment property	1,645	32%	1,479	30%
Cash and cash instruments	174	3%	116	2%
	5,129	100%	4,920	100%

The plan assets include buildings occupied by the Bank with a fair value of Shs 1,240 million (2013: Shs 1,084 million). The actual return on the scheme assets was 24% (2013: 24%).

Financial Statements

Notes (continued)

29 Post-employment benefit assets/(obligations) (continued)

Five year summary

	2014 Shs million	2013 Shs million	2012 Shs million	2011 Shs million	2010 Shs million
Present value of funded obligation	(5,040)	(5,045)	(4,948)	(10,076)	(10,738)
Fair value of scheme assets	5,129	4,920	4,284	8,881	10,683
Surplus/(deficit) in the plan	89	(125)	(664)	(1,195)	(55)

The principal actuarial assumptions used were as follows:

	2014	2013
- discount rate	12.0%	12.0%
- expected rate of return on scheme assets	12.0%	12.0%
- Inflation rate	7.5%	7.5%
- future salary increases	9.5%	9.5%
- future pension increases	4.5%	4.5%

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

Sensitivity analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

	2014 Basis Shs million	Discount rate -1.00% Shs million	Discount rate +0.5% Shs million	Inflation 0.50% Shs million	PA(90) -1 year Shs million
Active members	89	102	83	96	90
Deferred pensioners	574	642	543	610	585
Pensions in payment	4,377	4,681	4,239	4,545	4,484
	5,040	5,425	4,865	5,251	5,159

2014 estimates

Gross service cost (excluding interest)	25,733	26,149	25,553	26,153	25,750
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The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

Notes (continued)

30 Share capital

Issued and fully paid

	Number of shares in millions	Ordinary shares Shs million
Balance at 1 January 2013, 1 January 2014 and 31 December 2014	5,432	2,716

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.50 each.

31 Regulatory reserve

The regulatory reserve represents an appropriation from retained earnings to comply with the prudential guidelines of the Central Bank of Kenya on loan loss provisions. The balance represents the excess of impairment provisions determined in accordance with the Prudential guidelines over the impairment provisions recognised in accordance with the International Financial Reporting Standards. The reserve is non-distributable.

32 Other reserves

Other reserves comprise the cumulative net change in the fair value of available for sale investments until the investment is derecognised or impaired.

33 Off balance sheet financial instruments, contingent liabilities and commitments

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

Contingent liabilities

	Group and Bank	
	2014 Shs million	2013 Shs million
Acceptances and letters of credit	7,050	7,650
Guarantee and performance bonds	18,416	16,431
	25,466	24,081

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Financial Statements

Notes (continued)

33 Off balance sheet financial instruments, contingent liabilities and commitments (continued)

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers' default.

At year end, the bank has obtained undertakings from Barclays Plc in respect of bonds, guarantees and indemnities facility and letters of credit of Shs 1,980 million (2013: Shs 2,365 million).

Nature of the contingent liabilities

Commitments

	Group and Bank	
	2014 Shs million	2013 Shs million
Undrawn formal stand-by facilities, credit lines and other commitments to lend	8,065	11,718
Currency forwards	10,617	6,924
Foreign exchange spot settlement agreements	857	1,952
	19,539	20,594

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

Contingent tax liabilities

The Bank has unresolved tax disputes with the Kenya Revenue Authority currently pending at the Court of Appeal. Based on professional advice and the previous High Court rulings, the directors are of the opinion that no significant loss will arise from these matters.

34 Segment reporting

The Group has two main business segments:

- Consumer banking – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and
- Corporate banking – incorporating direct debit facilities, current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency dealings and derivative products.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis.

There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated statement of profit or loss.

Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

Financial Statements

Notes (continued)

34 Segment reporting (continued)

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

The business segment information for the year ended 31 December 2014 is as follows:

At 31 December 2014	Total Segment Shs million	Corporate Banking Shs million	Consumer Banking Shs million	Treasury Shs million	Unallocated Shs million
Net interest income	19,604	4,653	10,631	4,319	-
Non interest income	8,684	1,662	5,178	1,845	-
Inter segment interest	-	(1,323)	1,323	-	-
Operating income	28,288	4,992	17,132	6,164	-
Impairment losses on loans and advances	(1,405)	(141)	(1,264)	-	-
Depreciation and amortisation	(1,070)	-	-	-	(1,070)
Other operating expenses	(13,520)	(802)	(7,152)	(279)	(5,287)
Operating profit	12,293	4,049	8,716	5,885	(6,357)
Profit before income tax					
Income tax expense	(3,906)	-	-	-	(3,906)
Profit for the year	8,387	4,049	8,716	5,885	(10,263)
Total assets	225,844	52,652	74,515	98,677	-
Total liabilities	187,659	52,600	116,454	18,605	-
Additions of non-current assets	763	-	-	-	763

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Financial Statements

Notes (continued)

34 Segment analysis (continued)

The business segment information for the year ended 31 December 2013 is as follows:

At 31 December 2013	Total Segment Shs million	Corporate Banking Shs million	Consumer Banking Shs million	Treasury Shs million	Unallocated Shs million
Net interest income	18,860	3,871	10,372	4,617	-
Non interest income	9,062	1,799	5,548	1,715	-
Inter segment interest	-	(913)	913	-	-
Operating income	27,922	4,757	16,833	6,332	-
Impairment losses on loans and advances	(1,223)	(113)	(1,110)	-	-
Depreciation and amortisation	(1,148)	-	-	-	(1,148)
Other operating expenses	(14,417)	(774)	(7,412)	(210)	(6,021)
Operating profit	11,134	3,870	8,311	6,122	(7,169)
Profit before income tax	11,134	-	-	-	-
Income tax expense	(3,511)	-	-	-	(3,511)
Profit for the year	7,623	3,870	8,311	6,122	(10,680)
Total assets	206,739	52,182	69,095	85,462	-
Total liabilities	174,367	48,011	103,111	23,245	-
Additions of non-current assets	673	-	-	-	673

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Financial Statements

Notes (continued)

35 Notes to the statement of cash flows

Group

(a) Reconciliation of profit before taxation to net cash flows from operating activities

	2014 Shs million	2013 Shs million
Profit before taxation	12,293	11,134
Adjustment for non cash items:		
Depreciation (Note 10)	487	537
Amortisation of intangibles assets (Note 10)	583	611
Credit impairment charge (Note 18)	1,405	1,223
Fair value gain on financial assets designated at FVTP&L	(2)	(384)
Other non cash items	104	(658)
Changes in operating assets and liabilities		
Loans and advances to customers	(8,466)	(15,381)
Available for sale securities maturing after 90 days	4,497	(319)
Balances with Central Bank of Kenya	(6,999)	(860)
Financial assets at FVTPL	(4,146)	(814)
Other assets and prepaid expenses	(1,982)	476
Customer deposits	13,654	13,210
Other liabilities and accrued expenses	1,630	(248)
Income tax paid	(3,725)	(4,713)
Net cash from operating activities	9,333	3,814

(b) Cash and cash equivalents

For the purposes of the statement of cash flow, cash and cash equivalents comprise balances with less than 90 days to maturity as follows:

	2014 Shs million	2013 Shs million
Cash in hand (Note 14)	6,956	6,295
Available-for-sale securities maturing within ninety days (Note 16)	8,109	5
Items in the course of collection from banks	799	870
Due from group companies (Note 36)	4,755	9,129
Deposit and balances due from banking institutions (Note 17)	1,207	1,386
Items in the course of collection to banks	(1,873)	(2,508)
Due to group companies (Note 36)	(13,291)	(8,760)
Deposits and balances due to banking institutions (Note 24)	(121)	(4,738)
	6,541	1,679

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the Bank's day-to-day activities. The amount is determined as percentage of the average outstanding customer deposits over a cash reserve cycle period of one month. At the end of year, the cash reserve ratio was 5.89% (2013: 5.45%).

Financial Statements

Notes (continued)

36 Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

During the year Barclays Plc acquired Barclays Africa Group Limited (previously ABSA Group Limited who in turn acquired Barclays Africa entities through Barclays Africa Limited. Following the integration, Barclays Bank Kenya is now a subsidiary of Barclays Africa Group Limited (previously ABSA Group Limited), which is listed on the Johannesburg Stock Exchange.

The ultimate parent of the Group is Barclays Plc incorporated in the United Kingdom. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market. The relevant balances are as shown below:-

Balances with group companies

	Group and Bank	
	2014 Shs million	2013 Shs million
Due from:		
Barclays Bank Plc	1,666	6,443
Barclays Africa Group Limited	1,900	2,645
Other group companies	1,189	41
	4,755	9,129
Interest income earned on the above	41	35
Due to:		
Barclays Bank Plc	2,418	5,511
Barclays Africa Group Limited	10,318	3,026
Other group companies	555	223
	13,291	8,760
Interest expense incurred on the above	31	30

The weighted average effective interest rate at 31 December 2014 on amounts due from group companies was 0.8% (2013: 0.6%) and on amounts due to group companies was 0.2% (2013: 0.6%).

Notes (continued)

36 Related party transactions (continued)

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

Value of services provided

	Group and Bank	
	2014 Shs million	2013 Shs million
Barclays Bank Plc	429	453
Barclays Africa Group Limited	353	335

The value of the services provided has been debited to the profit or loss and is included in total expenditure of the Group.

Subordinated debt

The disclosures on the subordinated debt from Barclays plc are included in Note 26.

Amounts due from directors

Advances to customers as at 31 December 2014, include loans to directors, loans to companies controlled by directors or their families, and loans to employees as follows:-

	Group and Bank	
	2014 Shs million	2013 Shs million
At the start of the year	42	113
Amounts advanced during the year	-	-
Repayments received	(4)	(71)
At the end of year	38	42

At 31 December 2014 advances to directors or companies controlled by directors or their families amounted to Shs 38 million (2013: Shs 42 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features.

No allowances for impairment were recognised in respect of loans to Directors. (2014: Nil).

Deposits by directors

During the year the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2014 balances relating to directors deposits amounted to Shs 123 million (2013: Shs 36.7 million).

Financial Statements

Notes (continued)

36 Related party transactions (continued)

	2014 Shs million	2013 Shs million
Key management compensation		
Salaries and other short-term employment benefits	462	387
Directors emoluments		
- Fees for services as directors	25	15
- Other emoluments (included in key management compensation above)	95	120
- Barclays Plc share options scheme (amount recharged to Barclays Bank of Kenya)	3	13

There were no pension contributions paid to defined contribution schemes on behalf of Directors (2013: Nil). As at 31 December 2014, there were no Directors accruing benefits under a defined benefit scheme (2013: Nil).

Staff pension scheme

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Barclays Bank of Kenya Limited. The Funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Fund by virtue of shareholding.

The Bank provides normal banking services to the Funds in order to facilitate the day to day financial administration of the Funds.

Transactions during the year

	2014 Shs million	2013 Shs million
Rent expense	65	66
Interest on fixed and time deposits	13	21
Dividends on Barclays Bank of Kenya shares	-	14

The transactions were at similar terms and conditions to those offered to other customers.

	2014 Shs million	2013 Shs million
Investment balances	90	911

Notice of the Annual General Meeting

Notice is hereby given that the thirty-sixth Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held in the Tsavo Ballroom, Kenyatta International Conference Centre, Harambee Avenue, Nairobi on Wednesday, 29th April, 2015 at 11:00 a.m. to transact the following business:-

1. To confirm the Minutes of the thirty-fifth Annual General Meeting held on 23rd May, 2014.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31st December 2014 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:
 - (i) In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Director is due for retirement by rotation and being eligible, offers himself for re-election:

Ashok Shah
 - (ii) In accordance with Article 101 of the Company's Articles of Association, the following Directors are due for retirement this being the first Annual General Meeting to be held since their appointments as Directors and being eligible, offer themselves for re-election.

Winnie Ouko
Laila Macharia
Norah Odwesso
 - (iii) Brown Ondego and Jane Karuku, who have served as Directors of the Board since August 2003, have each individually advised the Company of their intention to retire at the forthcoming Annual General Meeting. Consequently, they will not offer themselves for re-election under Article No. 96 of the Company's Articles of Association.
5. To authorise the Board to fix the remuneration of the Directors.
6. To appoint Auditors and to authorise the Board to fix the remuneration of the Auditors.
7. To transact any other business of the Company of which due notice has been received.

By order of the Board

Waweru G. Mathenge
Company Secretary

24th March 2015

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday 27th April, 2015.

Note 2: Registration of members and proxies for the Annual General Meeting will commence at 8.00 a.m. on 29th April, 2015. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process.

Note 3: In accordance with Article 133 of the Company's Articles of Association a full copy of the Annual Report and Financial Statements may be viewed on the Company's website www.barclays.co.ke. A printed copy may be requested from the Company's Share Registrar, Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi.

Shareholders Information

Proxy Form

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*I/We _____ of _____

_____ being *a member/members of Barclays Bank of Kenya Limited, hereby

appoint:- _____

of (address) _____

or failing *him/her _____

of (address) _____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-sixth Annual General Meeting of the Company to be held on Wednesday, 29th April 2015 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this _____ day of _____ 2015.

Signature(s) _____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

*Delete whichever is not applicable.

NOTE 1. A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

NOTE 2. In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

NOTE 3. To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Monday 27th April 2015.

Shareholders Information

Fomu ya Uwakilishi

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*Mimi/Sisi _____

wa _____

kama *mwanachama/wanachama wa Benki ya Barclays Bank of Kenya Limited, namteua/tunamteua:-

wa (anwani)

au akikosa yeye

wa (anwani)

na akikosa yeye Mwenyekiti wa mkutano kama mwakilishi *wangu/wetu * anipigie/atupigie kura kwa niaba *yangu/yetu katika mkutano mkuu wa thelathini na tano wa kampuni hii ambao utafanyika Ijumaa tarehe 29 Aprili, 2015 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia saina *yangu/yetu

siku hii ya _____ ya mwezi wa _____ 2015.

Sahihi _____

Labda kuwe na maagizo, mwakilishi atakuwa huru kupiga kura apendavyo

*Futa yasiyofaa

MAELEZO YA 1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Sio lazima mwakilishi awe mwanachama wa kampuni.

MAELEZO YA 2. Iwapo mwanachama ni shirika fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na saina ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.

MAELEZO YA 3. Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P.8484-00100 Nairobi, ili imfikie msajili kabla ya au ifikiapo saa tano asubuhi siku ya Jumatano tarehe 27 Aprili, 2015.

Corporate Information

Registered/Head Office

The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi

Company Secretary

Waweru Mathenge
The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi
Tel: +254 20 4254000

Share Registrar

Custody & Registrars Services Limited
Bruce House, 6th Floor
Standard Street
P. O Box 8484-00100
Nairobi
Tel: +254 20 2230518

Auditor

PricewaterhouseCoopers
Certified Public Accountants
PwC Tower
Waiyaki way/Chiromo road
Westlands
P. O Box 43963-00100
Nairobi
Tel: +254 20 2855000

Advocates

Iseme Kamau & Maema Advocates
IKM Place, Tower A, 5th Floor
5th Ngong Avenue
Off Bishops Road
P.O. Box 11866-00400
Nairobi
Tel: +254-20- 2711021

Kaplan & Stratton
Advocates
Williamson House, 9th Floor
4th Ngong Avenue
P.O. Box 40111-00100
Nairobi
Tel: +254 20 2841000

Mohammed Muigai Advocates
MM Chambers
K-Rep Centre, 4th Floor
Wood Avenue
Off Lenana Road
P.O. Box 61323-00200
Nairobi
Tel: +254 20 2397401

Miller & Company Advocates
Bruce House, 13th Floor
Standard Street
P.O. Box 45707-00100
Nairobi
Tel: +254 20 2248461

 www.barclays.co.ke